THE COMPLETE BUSINESS KNOWLEDGE ENCYCLOPEDIA

الموسوعة الشاملة للمعرفة في عالم الأعمال

VOLUME 4

Banking, International Trade and Treasury

المصارف والتجارة الدولية والخزينة

Every Essential Business Concept, Term, Process, Document, Financial Instrument, and Commercial Practice You Need to Understand the Real Business World

IN THIS VOLUME

- Part VI — Banking and the Financial System
- Part VII — International Trade and Trade Finance
- Part XVIII — Financial Markets, FX and Treasury

A practical reference for finance and computer-science graduates entering the business world · First edition — October 2026

About this volume

This volume is part of a ten-volume reference collection. Chapter numbers run continuously across the collection, so a reference such as “§47.3” identifies the same section in every volume, in the master index (Volume 10), and in the learning roadmap.

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Vol. 1	Foundations and the Language of Business
Vol. 2	How Businesses Work — Accounting and Financial Statements
Vol. 3	Corporate Finance, Economics and Business Mathematics
Vol. 4	**Banking, International Trade and Treasury**
Vol. 5	Commercial Operations — Sales, Supply Chain, Insurance and Risk
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Vol. 8	Professional Practice — Communication, Deals and Advanced Thinking
Vol. 9	Document Library, Master Reference, Exercises and Learning Roadmap
Vol. 10	Master Table of Contents, Glossary and Unified Index

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PART VI

Banking and the Financial System

المصارف والنظام المالي

Banks sit at the centre of almost every commercial transaction: they hold companies' cash, move their payments, lend to them, guarantee their obligations, finance their trade and help them raise capital. Understanding how a bank thinks — what it earns, what it fears, what its regulators require — lets you negotiate better, prepare better credit applications, and design transactions that banks can support.

This part builds the banking system from the ground up, then follows a corporate client through credit analysis, facility structuring, payments, compliance and specialised finance. It ends with a classification of all major bank products by commercial purpose. Trade-finance instruments (letters of credit, collections, guarantees in trade) are introduced here and explained in full in Part VII.

LEARNING OBJECTIVES · Learning objectives for Part VI

- Distinguish the types of banks and financial institutions and their roles.
- Read a bank's balance sheet and explain how it earns money and what risks it carries.
- Follow a corporate credit decision from application to approval, and write a credit memo.
- Explain each credit facility, form of security and covenant, and when to use them.
- Understand payment systems, correspondent banking, SWIFT and ISO 20022, and reconciliation.
- Explain trade, working-capital, project and structured finance, and capital-markets products.
- Understand KYC, AML, sanctions screening, bank risk management and the Basel framework.
- Classify any bank product as a payment, financing, guarantee or risk-mitigation instrument.

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CHAPTER 44

The Financial System and the Types of Banks

LEARNING OBJECTIVES · In this chapter

The functions of the financial system, the types of banks and their clients, non-bank financial institutions, and Islamic banking.

44.1 What the financial system does

1. **Payments:** moving money between parties safely and quickly.
2. **Intermediation:** channelling savings to borrowers, transforming maturities (short-term deposits into long-term loans), sizes and risks.
3. **Risk management:** insurance, hedging, diversification, guarantees.
4. **Price discovery:** markets set interest rates, exchange rates, security prices.
5. **Monitoring and information:** lenders and investors assess and monitor borrowers, reducing information problems.

44.2 Types of banks

Type	Main clients	Core activities	How it earns	Examples of roles in a deal
Central bank	Government, banks	Monetary policy, currency issue, lender of last resort, payment-system operator, often supervisor	Seigniorage, reserve returns (not profit-driven)	Sets policy rate; runs the RTGS system
Commercial bank	Individuals, SMEs, corporates	Deposits, loans, payments, trade finance, FX	Net interest income, fees, FX margins	Lends to an importer; issues an L/C
Retail banking (division)	Individuals, small businesses	Current/savings accounts, cards, mortgages, personal loans	Spread, fees, card interchange	Payroll accounts for staff
Corporate / commercial banking (division)	Mid-size and large companies	Credit facilities, cash management, trade finance, FX, hedging	Interest, fees, cross-sell	Relationship manager for a trading company
Investment bank	Corporates, governments, institutional investors	M&A advisory, underwriting equity and bonds, sales and trading, research	Advisory and underwriting fees, trading revenue	Advises on acquisition; arranges a bond issue
Private bank / wealth management	High-net-worth individuals and families	Investment management, credit secured on portfolios, estate structuring	Asset-based fees, lending spreads	Manages the owner's personal wealth
Correspondent bank (role)	Other banks	Accounts and payment services for banks in other countries/currencies	Fees, balances	Clears USD payments for a regional bank
Development bank / DFI	Governments, projects, private sector in developing countries	Long-term loans, guarantees, equity	Policy-driven returns	Co-finances a power plant (e.g., IFC, regional development banks)

Type	Main clients	Core activities	How it earns	Examples of roles in a deal
Export credit agency (ECA)	Exporters, banks financing exports	Insurance, guarantees, direct loans supporting exports	Premiums	Covers a bank loan to a foreign buyer
Islamic bank	Individuals, corporates	Sharia-compliant deposits and financing (murabaha, ijara, musharaka, sukuk)	Profit margins on sale/lease contracts, fees	Murabaha financing of inventory

Universal banks combine commercial and investment banking; some jurisdictions separate or ring-fence them (e.g., ring-fencing of UK retail banks).

44.3 Non-bank financial institutions

Insurance companies, pension funds, asset managers, hedge funds, private-equity and private-credit funds, finance companies and leasing companies, factoring companies, microfinance institutions, payment institutions and electronic-money issuers, exchanges and clearing houses, broker-dealers. **Private credit** funds have grown into major lenders to mid-sized companies, particularly in leveraged buyouts.

44.4 Islamic banking essentials

Islamic finance prohibits riba (interest), excessive uncertainty (gharar) and financing prohibited activities; returns must be linked to trade, leasing or partnership.

Product	Structure	Conventional analogue
Murabaha	Bank buys an asset and sells it to the client at cost plus disclosed profit, payable in instalments	Inventory / trade finance, term loan
Ijara	Bank buys and leases an asset to the client (possibly with ownership transfer at the end)	Lease / asset finance
Musharaka / diminishing musharaka	Partnership; client buys out the bank's share over time	Equity / home finance
Mudaraba	One party provides capital, the other management; profits shared, losses borne by capital provider	Investment account, fund
Wakala	Agency arrangement for investment	Deposit / treasury placement
Tawarruq (commodity murabaha)	Buying and selling commodities to generate cash financing	Cash loan, liquidity management
Sukuk	Certificates representing ownership in assets or ventures, generating returns	Bonds

Sharia supervisory boards approve products; standards are issued by bodies such as AAOIFI and the IFSB. In credit analysis, Islamic facilities are analysed like conventional ones (cash flow, collateral, structure), with attention to legal enforceability and documentation.

بالعربية — أنواع البنوك

البنك المركزي يدير السياسة النقدية ويصدر العملة ويشرف على البنوك. البنك التجاري يقبل الودائع ويمنح القروض ويقدم خدمات الدفع وتمويل التجارة. بنك الاستثمار يقدم الاستشارات في عمليات الاندماج والاستحواذ ويضمن إصدارات الأسهم والسندات. الخدمات المصرفية الخاصة تخدم أصحاب الثروات. البنك المراسل يقدم خدماته لبنوك أخرى في دول أو عملات مختلفة. أما البنوك الإسلامية فتقدم التمويل عبر عقود المرابحة والإجارة والمشاركة بدلاً من القروض بفائدة.

PRACTICE · Practice questions

1. Which institutions would be involved when a Jordanian manufacturer (a) pays a German supplier in EUR; (b) raises a bond; (c) insures a loan to an African buyer?
2. How does a murabaha inventory financing differ from a conventional import loan in documentation and accounting substance?

ANSWER · Answers to the practice questions

1. (a) Its commercial bank and the bank's EUR correspondent (or direct access to TARGET/T2 via a European bank), the supplier's bank; (b) investment banks as arrangers/bookrunners, legal advisers, rating agency, listing venue; (c) an export credit agency or private credit insurer covering the lender.
2. In murabaha the bank actually buys the goods (taking title, at least briefly) and sells them to the client at an agreed marked-up price payable later; the client owes a fixed sale price rather than a loan with interest. Economically both finance inventory over time; documentation (purchase/sale contracts, agency, promise to purchase) and Sharia compliance differ. Late-payment charges are typically donated to charity rather than kept as income.

CHAPTER 45

How Banks Make Money: The Bank Balance Sheet, Deposits, Lending and Relationship Management

LEARNING OBJECTIVES · In this chapter

The structure of a bank balance sheet and income statement, net interest margin and fee income, the economics of a lending relationship, and how relationship management works.

45.1 A bank's balance sheet

Assets	% (illustrative)	Liabilities and equity	% (illustrative)
Cash and central-bank reserves	8	Customer deposits (current, savings, term)	72
Interbank placements	5	Interbank borrowings	6
Investment securities (government bonds etc.)	20	Debt securities issued	7
Loans and advances (net of provisions)	62	Other liabilities	3
Fixed and other assets	5	Subordinated debt / AT1 capital	2
		Shareholders' equity	10
Total	**100**	**Total**	**100**

A bank is highly leveraged: equity may be ~10% of assets. A 1% loss on assets destroys ~10% of equity. That is why banks care so much about credit losses, and why regulators require capital and liquidity buffers.

45.2 A bank's income statement

Line	Driver
Interest income	Loans, securities, placements × yields
Interest expense	Deposits, borrowings × funding costs
Net interest income (NII)	Volume × net interest margin
Fee and commission income	Payments, trade finance, cards, advisory, asset management
FX and trading income	Client FX margins, hedging, market-making
Operating income	
Operating expenses	Staff, technology, premises
Pre-provision profit	
Impairment charges (expected credit losses)	Credit quality
Profit before tax	

Key ratios: **net interest margin** (NII ÷ average interest-earning assets), **cost-to-income** (operating expenses ÷ operating income), **cost of risk** (impairment charges ÷ average loans), **ROE**, **loan-to-deposit ratio**, **NPL ratio** and **coverage**, capital ratios.

45.3 The economics of a corporate loan

WORKED EXAMPLE · Return on a $10m corporate loan (fictional, simplified)

Item	Annual	Note
Interest at margin 2.25% over funding	+225,000	Bank funds at reference rate (simplification)
Upfront fee 0.75% amortised over 3 years	+25,000	
Expected loss: PD 1.0% × LGD 40% × EAD 10m	−40,000	Cost of risk
Operating cost allocation	−30,000	Relationship, credit, operations
Pre-tax risk-adjusted income	**180,000**	
Tax 20%	−36,000	
Net income	**144,000**	
Capital required: risk weight 100% × 10m × 12.5% capital ratio	1,250,000	Regulatory capital allocated
Return on allocated capital (RAROC-style)	**11.5%**	vs cost of equity, say 12%

The loan alone barely covers the bank's cost of equity. This is why banks seek **cross-sell**: payments, payroll, trade finance, FX and hedging add fee income with little extra capital. A client who borrows from a bank but keeps all its transactional business elsewhere is unattractive to that bank.

45.4 Deposits and funding

Deposits are the cheapest and most stable funding, especially operational current accounts used for payments. Term deposits and wholesale funding cost more and are less stable. **Liquidity regulation** (LCR, NSFR) gives banks incentives to attract stable deposits and match long-term assets with stable funding. For corporates, this explains why banks ask for "operating accounts" and "wallet share" in return for credit.

45.5 Relationship management

The **relationship manager (RM)** is the client's main contact and the bank's commercial owner of the relationship. The RM:

- Understands the client's business, strategy and needs.
- Prepares credit applications and coordinates with credit risk, product specialists (trade, cash management, treasury) and compliance.
- Monitors the client: financials, covenants, account conduct, industry news.
- Prices and negotiates within the bank's policies.
- Manages the annual review and renewals.

PROFESSIONAL INSIGHT · How to work with your bank as a corporate treasurer or CFO

- Give the RM a clear story: business model, strategy, numbers, risks and mitigants. RMs must "sell" your credit internally to a credit committee; make it easy for them.
- Provide information early and consistently: management accounts, forecasts, ageing reports, covenant certificates.
- Concentrate transactional business with your core lenders in proportion to their credit support.
- Never surprise your bank. If a covenant breach is coming, tell them before the test date with a plan.

- Maintain relationships with at least two or three banks to avoid dependency.

PRACTICE · Practice questions

1. A bank's NII is $900m on average interest-earning assets of $36bn; operating income $1.3bn; operating expenses $520m; impairments $180m on loans of $24bn. Compute NIM, cost-to-income and cost of risk.
2. Why might a bank offer a lower margin on a loan to a company that moves its payroll and trade finance to it?

ANSWER · Answers to the practice questions

1. NIM = 900 ÷ 36,000 = **2.5%**; cost-to-income = 520 ÷ 1,300 = **40%**; cost of risk = 180 ÷ 24,000 = **0.75%**.
2. Ancillary business brings fee income and low-cost deposits with little additional capital, raising the return on the capital allocated to the relationship; the bank can accept a thinner lending margin while achieving its target return.

CHAPTER 46

Corporate Credit Analysis: How a Bank Decides

LEARNING OBJECTIVES · In this chapter

The credit process from application to approval; the analytical frameworks banks use; risk ratings; structuring; and a complete fictional credit memorandum.

46.1 The credit process

1. **Origination:** RM identifies the need; preliminary discussion of amount, purpose, structure.
2. **KYC and compliance onboarding** (for new clients) — no credit without completed KYC.
3. **Information gathering:** audited financials (3 years), management accounts, forecasts, business plan, ageing reports, bank statements, list of existing facilities, collateral details, contracts.
4. **Analysis:** business and industry risk, management, financial analysis, cash-flow and repayment capacity, collateral, structure.
5. **Risk rating:** internal rating (obligor rating, e.g., 1–10 or AAA–C equivalents) and facility rating considering security.
6. **Credit memo** prepared by RM and/or credit analyst; recommendation.
7. **Approval:** by authorised credit officers or committee depending on amount and risk (delegated authority).
8. **Documentation:** facility letter or agreement, security documents, legal opinions; **conditions precedent** satisfied.
9. **Disbursement / utilisation.**
10. **Monitoring:** covenant compliance, financial reviews, early-warning indicators, annual review; watch-list and remedial management if needed.

46.2 Frameworks: the Cs of credit

C	Question	Evidence
Character	Are the owners and managers honest, competent and committed?	Track record, references, bank conduct, credit bureau, transparency
Capacity	Can the business repay from cash flow?	Historical and projected cash flow, DSCR, leverage, coverage
Capital	How much of their own money is at risk?	Equity, tangible net worth, shareholder support
Collateral	What secondary source of repayment exists?	Security value, enforceability, liquidity, haircuts
Conditions	What external factors affect the borrower and the loan?	Industry, economy, purpose of the loan, terms

Many banks use additional frameworks such as **CAMPARI** (Character, Ability, Margin, Purpose, Amount, Repayment, Insurance) or **PARSER**. All converge on the same logic: **the primary source of repayment is cash flow from the business; collateral is the secondary source.**

COMMON MISTAKES · A bank does not lend on collateral alone

A loan that can only be repaid by selling the collateral is a bad loan, even if fully secured: enforcement is slow, costly, uncertain and damages the relationship and the bank's reputation. Credit officers first ask "how will this loan be repaid in the normal course of business?"

46.3 Analysing repayment capacity by purpose

Purpose	Repayment source	Key analysis
Working capital (overdraft, RCF)	Conversion of inventory and receivables into cash	CCC, borrowing base, seasonality
Trade finance (import loan)	Sale of the specific goods financed	Transaction-level: buyer, goods, price risk, documents
Capex (term loan)	Future operating cash flows	Project returns, DSCR, debt tenor vs asset life
Acquisition	Combined group cash flow	Pro forma leverage, synergies, integration risk
Refinancing	Same as original purpose; why refinance?	Is the borrower restructuring problems?
Dividend recapitalisation	Future cash flows	Weakens creditor position; strict covenants

46.4 Risk rating and pricing

Banks map obligors to a **probability of default (PD)** through scoring models (financial ratios, qualitative factors) and expert judgement. Facility-level **loss given default (LGD)** depends on seniority and collateral. Pricing considers expected loss, capital consumption, funding cost, operating cost and relationship value (as in the RAROC example in the previous chapter).

46.5 Complete fictional credit memorandum

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Credit Memorandum — Al-Noor Building Materials Trading LLC (fictional)

Bank: Training Bank (fictional) — Corporate Banking Division **Date:** 15 March (training simulation) **Relationship manager:** R. Haddad · **Credit analyst:** S. Karim **Request:** Renewal and increase of facilities from USD 6.0m to USD 8.5m

1. Summary of request

Facility	Existing (USD m)	Proposed (USD m)	Tenor	Pricing
Overdraft	1.0	1.0	12 months, on demand	3M ref. rate + 3.00%
Import L/C line (sight and usance up to 120 days)	3.0	4.0	12 months	0.25% per quarter; usance acceptance 1.5% p.a.
Import loans (post-L/C, up to 120 days), sub-limit of L/C line	(2.0)	(3.0)	12 months	ref. + 2.75%
Letters of guarantee (bid/performance)	2.0	2.0	12 months	1.0% p.a.
Term loan for new warehouse	—	1.5	5 years, 6 months grace, quarterly amortisation	ref. + 3.25%
Total	**6.0**	**8.5**		

2. Borrower background: Founded 2009; imports and distributes steel rebar, cement additives, tiles and sanitary ware; 140 employees; two warehouses; 60% of sales to contractors, 25% to retail hardware stores, 15% to government projects via contractors. Owned 70% by the founder (active CEO, 30 years' industry experience) and 30% by his brother (CFO). Banking relationship since 2015; account conduct satisfactory, no excesses in the last 24 months.

3. Financial summary (USD m, audited, unqualified opinions)

	Year 1	Year 2	Year 3
Revenue	31.2	34.8	39.6
Gross margin	17.1%	16.8%	17.4%
EBITDA	2.65	2.92	3.45
EBITDA margin	8.5%	8.4%	8.7%
Net income	1.42	1.51	1.86
Cash from operations	1.10	0.65	1.20
Total debt	4.10	4.90	5.20
Cash	0.60	0.50	0.70
Tangible net worth	7.40	8.41	9.77
Receivables (DSO)	7.5 (88 d)	8.9 (93 d)	9.9 (91 d)
Inventory (DIO)	5.2 (73 d)	6.1 (77 d)	6.8 (76 d)
Payables (DPO)	2.3 (32 d)	2.6 (33 d)	3.0 (33 d)
Net debt / EBITDA	1.32×	1.51×	1.30×
EBITDA / interest	7.6×	6.6×	6.9×
Debt / tangible net worth	0.55×	0.58×	0.53×

4. Analysis

- *Business and industry:* construction activity in the country is supported by government infrastructure programmes, but contractors face payment delays from public clients, which flow through to suppliers. Steel prices are volatile (rebar ~45% of sales).
- *Management:* experienced founders; finance function adequate; succession is a weakness (no second-line management).
- *Financial:* steady growth (CAGR 12.7%), stable margins, moderate leverage, good interest cover. Cash conversion is weak (CFO/EBITDA about 33% on average) because of long DSO; receivables over 120 days are 14% of the book.
- *Repayment:* import loans self-liquidate from sale of goods (DIO 76 days within 120-day tenor). Term loan: warehouse saves rent of USD 0.28m a year; DSCR on total debt service projected at 1.6× in year 2 of the term loan.

5. Risks and mitigants

Risk	Mitigant
Customer concentration: top 5 contractors = 38% of receivables	Credit insurance policy covering approved buyers (assignment to bank required)
Steel price fall leaves inventory and L/C commitments at a loss	Short holding period; 15% margin deposit on steel L/Cs; monitoring of open positions
Long DSO; government-project payment delays	Borrowing base for import loans; DSO covenant
Key-person risk	Personal guarantees of both shareholders; succession plan requested
Warehouse construction overrun	Fixed-price contractor; 30% equity contribution before first drawdown

6. Security and support: Personal guarantees of both shareholders (USD 8.5m); first-ranking mortgage over the new warehouse (valuation USD 2.4m; LTV of term loan 62.5%); assignment of credit-insurance policy proceeds; 15% cash margin on steel L/Cs.

7. Covenants (tested semi-annually on audited/reviewed accounts): Net debt / EBITDA ≤ 2.5×; Debt / tangible net worth ≤ 1.0×; EBITDA / interest ≥ 4.0×; dividends ≤ 50% of net income while net debt / EBITDA > 2.0×; no change of ownership without consent; quarterly receivables ageing.

8. Risk rating: Obligor rating 5 (on 1–10 scale; moderate risk), unchanged. Expected annual return on allocated capital including ancillary business (payroll, FX, collections): 14.2%.

9. Recommendation: Approve as proposed subject to conditions precedent: (i) credit-insurance assignment executed; (ii) mortgage registered before term-loan drawdown; (iii) evidence of USD 0.65m equity contribution to warehouse; (iv) updated KYC on UBOs.

Training simulation — fictional company and bank. Not a real credit decision.

بالعربية — مذكرة الائتمان

مذكرة الائتمان هي الوثيقة التي يعرض فيها مدير العلاقة ومحلل الائتمان طلب العميل، ويحللان نشاطه وإدارته ونتائجه المالية وقدرته على السداد، ويحددان المخاطر ووسائل تخفيفها والضمانات والتعهدات المالية المقترحة، ثم يقدمان التوصية إلى صاحب الصلاحية أو لجنة الائتمان. أهم ما فيها هو بيان مصدر السداد الأساسي (التدفقات النقدية) والمصدر الثانوي (الضمانات).

PRACTICE · Practice questions

1. In the Al-Noor memo, CFO/EBITDA averages about 33%. What does this mean for the bank, and which covenant or structure addresses it?
2. The term loan of $1.5m is repayable over 4.5 years after a 6-month grace period in equal quarterly instalments. What is the quarterly principal? Estimate first-year debt service on the term loan at 8.5% interest.
3. List three early-warning signals the RM should monitor for Al-Noor.

ANSWER · Answers to the practice questions

1. Profits are not converting fully into cash because receivables (and inventory) absorb cash; the bank depends on collections from contractors. Mitigants: borrowing base for import loans, DSO/ageing reporting, credit insurance, margin deposits, and limiting dividends.
2. 18 quarterly instalments → **$83,333** per quarter. Year 1: interest only for 2 quarters (~$31.9k each ≈ $63.8k) plus 2 instalments ($166.7k) with interest on declining balance (~$61k) → about **$290k** debt service in year 1.
3. Rising DSO or overdue >120 days; increased overdraft utilisation or excesses; delays in providing financials; covenant headroom shrinking; large L/C openings for steel when prices are falling; legal cases or bounced cheques; key-customer distress.

CHAPTER 47

Credit Facilities, Collateral, Guarantees and Covenants

LEARNING OBJECTIVES · In this chapter

Each major credit facility explained with its commercial purpose; secured and unsecured lending; types of collateral and their haircuts; guarantees; covenants and pricing; syndicated lending; and how to negotiate a facility.

47.1 Matching facility to purpose

Need	Appropriate facility	Inappropriate choice	Why
Daily timing differences	Overdraft, RCF	Term loan	Flexibility needed
Seasonal inventory build	RCF, borrowing base, import loans	Overdraft only	Peak needs committed funding
Import of goods	L/C line + import loans/trust receipts	Term loan	Self-liquidating trade cycle
Customer pays at 90 days	Receivables finance, invoice discounting, factoring	Long-term loan	Linked to the receivable
Equipment purchase	Term loan, leasing, asset finance	Overdraft	Long-lived asset
Acquisition	Acquisition term loan, bridge, bonds, equity	RCF (alone)	Long-term, larger risk
Tender or contract performance	Bank guarantee line	Cash deposit	Preserve liquidity
Project with long construction	Project finance	Corporate overdraft	Ring-fenced risk and long tenor

47.2 Facility types in detail

Overdraft

Flexible, priced at reference rate + margin on daily drawn balances, plus possibly an arrangement fee. Usually **repayable on demand** and reviewed annually. Banks dislike "hard-core" overdrafts that never swing into credit — a sign of long-term funding needs disguised as working capital.

Revolving credit facility (RCF)

Committed for an availability period (1–5 years). Fees: arrangement/upfront fee, **commitment fee** on undrawn amounts (often 30–40% of the margin), margin on drawn amounts, sometimes **utilisation fees** when usage exceeds thresholds. Each drawing ("loan") has an interest period (1, 3, 6 months) and is repaid and redrawn. Conditions to each drawing: no default, repeating representations true.

Term loans

Fixed amount, specific purpose. Structure elements: availability period (to draw), grace period, repayment profile (equal instalments, sculpted to cash flow, balloon, bullet), voluntary prepayment rights (and break costs on fixed-rate loans), mandatory prepayments (asset sale proceeds, excess cash flow sweep in leveraged loans).

Syndicated and club loans

Large facilities shared among lenders under one agreement (often based on Loan Market Association templates in EMEA). Roles: mandated lead arranger(s), bookrunner, facility agent (administers payments and communications), security agent (holds security for all lenders). Lenders act by **majority lenders** decisions (often 66⅔%) except for matters requiring all-lender consent (amount, pricing, maturity, release of key security).

Asset finance and leasing

The asset itself secures the financing; lessors may own the asset. Useful for vehicles, equipment, aircraft, ships. Under IFRS 16 lessees show most leases on the balance sheet.

47.3 Secured vs unsecured lending

	Unsecured	Secured
Lender's recourse	General claim on all assets, ranking with other unsecured creditors	Priority claim on specific assets
Typical borrowers	Strong, rated companies; investment-grade	SMEs, mid-caps, leveraged borrowers
Pricing	Depends on credit quality	Lower than equivalent unsecured for weaker borrowers
Protections	Negative pledge, pari passu, covenants	Plus security documents, registrations

47.4 Types of collateral

Collateral	How taken (varies by law)	Typical advance / haircut	Issues
Cash deposit	Pledge / lien / set-off	~100% (same currency)	Simple; ties up liquidity
Real estate	Mortgage registered at land registry	50–70% LTV	Valuation, enforcement time, legal title
Receivables	Assignment (notified or not)	70–90% of eligible	Dilution, disputes, concentration, set-off
Inventory	Pledge, possessory pledge with collateral manager, warehouse receipts	40–70%	Perishability, price volatility, control, fraud
Equipment / vehicles	Chattel mortgage / registered charge	40–70%	Depreciation, mobility
Listed shares	Pledge over securities account	30–70% depending on liquidity	Market volatility, margin calls
Shares of a private company	Share pledge	Enforcement means controlling the company	Valuation, minority rights
Ships / aircraft	Registered mortgage	50–70%	Specialist valuation and registries
Insurance proceeds	Assignment, loss-payee endorsement	—	Coverage adequacy
Contract rights	Assignment of contract proceeds	—	Counterparty consent

Perfection (registration, notification, possession) makes security effective against third parties; **priority** determines who is paid first. These depend entirely on the governing law and the location of the assets — banks use local counsel and legal opinions.

47.5 Guarantees and other credit support

- **Personal guarantee** by owners: common for SMEs; aligns incentives; value depends on owners' assets.
- **Corporate guarantee** by a parent or group companies (upstream, downstream, cross-stream): critical where cash and assets are spread across a group.
- **Bank guarantee / SBLC** from another bank: substitutes the bank's credit for the borrower's.
- **Comfort letter / letter of awareness:** usually not legally binding; limited value.
- **Keepwell agreement:** parent undertakes to maintain the subsidiary's solvency — enforceability varies.
- **Credit insurance / ECA cover:** transfers part of the risk to an insurer.
- **Subordination of shareholder loans:** owners agree their loans rank after the bank.

47.6 Covenants

Type	Examples	Purpose
Financial maintenance	Leverage, interest cover, DSCR, minimum net worth, current ratio, capex limits	Early warning; renegotiation trigger
Incurrence (bonds, some loans)	Tested only when taking an action (e.g., new debt)	Control actions, not performance
Positive (affirmative)	Provide financial statements, maintain insurance, comply with laws, pay taxes	Information and preservation
Negative	No further security (negative pledge), no disposals, no new debt, no change of business, no mergers, dividend restrictions	Protect lender's position
Information	Monthly/quarterly reports, compliance certificates, borrowing-base reports	Monitoring

Events of default: non-payment, covenant breach (after any cure period), misrepresentation, cross-default (default on other debt), insolvency events, material adverse change (debated), change of control, audit qualification, judgments above thresholds. Upon an event of default, lenders may **accelerate** the loan, cancel commitments and enforce security — but in practice usually negotiate a **waiver** or **amendment** (with a fee and tighter terms).

PROFESSIONAL INSIGHT · Negotiating covenants as a borrower

- Set covenant levels with **headroom** of 25–35% versus your downside budget, not your base case.
- Agree **definitions** carefully: EBITDA (adjustments allowed, pro forma for acquisitions, pre- or post-IFRS 16), net debt (which items, cash netting).
- Seek **equity cure** rights (shareholders can inject equity to cure a breach) and **cure periods**.
- Prefer **semi-annual** testing on rolling 12-month figures for seasonal businesses.
- Avoid cross-default to small, unrelated obligations (set a threshold).

47.7 Pricing a facility

All-in cost = reference rate + margin + fees (arrangement, commitment, utilisation, agency) + costs (legal, valuation, registration) + compensating requirements (minimum balances, hedging with the bank) + break costs. Compare offers on an **all-in annualised basis** at expected utilisation.

WORKED EXAMPLE · Comparing two RCF offers ($20m, 3 years, expected average utilisation 40%)

	Bank A	Bank B
Margin	2.10%	1.90%

	Bank A	Bank B
Commitment fee (on undrawn)	35% of margin = 0.735%	40% of margin = 0.76%
Upfront fee	0.50% flat	1.00% flat
Annual cost (excluding reference rate)	Drawn 8m × 2.10% = 168,000; undrawn 12m × 0.735% = 88,200; upfront 100,000 ÷ 3 = 33,333 → **289,533**	8m × 1.90% = 152,000; 12m × 0.76% = 91,200; 200,000 ÷ 3 = 66,667 → **309,867**

Bank A is cheaper despite the higher margin; at 80% utilisation, Bank B becomes cheaper (A: 336,000 + 29,400 + 33,333 = 398,733; B: 304,000 + 30,400 + 66,667 = 401,067 — nearly equal). Utilisation expectations drive the choice.

PRACTICE · Practice questions

1. A company wants to finance a 5-year machine with its overdraft because “the rate is the same”. Explain the risks.
2. A borrower with EBITDA $12m proposes a leverage covenant of 3.0× net debt/EBITDA. Net debt is $30m. Its downside budget shows EBITDA of $10m. Is the headroom adequate?
3. Inventory of $5m of steel rebar is offered as collateral. Which risks would you consider, and what advance rate might be reasonable?

ANSWER · Answers to the practice questions

1. The overdraft is on demand and reviewed annually; the bank can reduce or cancel it, forcing repayment of a long-term asset from short-term funds. It also consumes working-capital headroom and hides the true funding structure; covenants and liquidity may suffer. A term loan or lease matched to the machine’s life is appropriate.
2. Base case leverage 2.5×; downside 3.0× → zero headroom. Adequate headroom would require a covenant around 3.75–4.0× or a plan to reduce net debt.
3. Price volatility, theft/fraud, control of the stock (who holds keys/warehouse receipts), quality and specifications, insurance, storage conditions (rust), legal perfection of the pledge, liquidity on enforcement. Advance rate perhaps 50–60% with collateral management, regular mark-to-market and margin top-up.

CHAPTER 48

Payments, Correspondent Banking, SWIFT and Reconciliation

LEARNING OBJECTIVES · In this chapter

How money actually moves: domestic payment systems, cross-border payments through correspondent banks, SWIFT messaging and ISO 20022, payment instruments, timing and costs, and bank reconciliation.

48.1 Payment instruments

Instrument	How it works	Typical use	Key risks
Cash	Physical currency	Retail, small payments	Theft, AML restrictions
Cheque	Written order to drawer's bank to pay	Still used in some markets, including post-dated cheques as security in parts of the Middle East	Bounced cheques; legal consequences vary by country
Bank transfer (credit transfer)	Payer instructs its bank to credit payee's account	Supplier payments, payroll, B2B	Wrong beneficiary, fraud (BEC)
Direct debit	Payee pulls funds with payer's mandate	Subscriptions, utilities	Mandate management
Card payment	Card networks authorise, clear, settle; merchant pays fees	Retail, e-commerce	Chargebacks, fraud
Instant payment	24/7 real-time transfers	Retail and SME payments	Irrevocability; fraud speed
Documentary instruments	Payment linked to documents (L/C, collections)	International trade	Discrepancies
Bill of exchange / promissory note	Negotiable written payment promise/order	Trade credit, discounting	Enforceability by jurisdiction
Digital wallets / e-money	Stored value with a licensed provider	Consumer and gig payments	Provider risk

48.2 Domestic payment systems

- **RTGS (real-time gross settlement):** high-value payments settled individually and irrevocably in central-bank money — e.g., Fedwire (US), T2 (euro area, operated by the Eurosystem since 2023), CHAPS (UK), UAEFTS (UAE), SARIE (Saudi Arabia).
- **ACH / batch systems:** lower-value bulk payments (payroll, direct debits) netted and settled in batches.
- **Instant payment systems:** real-time retail payments, e.g., FedNow (US, launched 2023), SEPA Instant (euro area), UPI (India), and regional systems such as the UAE's Aani and Saudi Arabia's instant-payment service.
- **Card schemes and processors:** Visa, Mastercard and domestic schemes; acquiring banks and payment service providers.

48.3 Cross-border payments and correspondent banking

A bank cannot hold accounts at every bank in the world. To pay in a foreign currency, it uses **correspondent banks** that hold its **nostro** accounts in that currency.

WORKED EXAMPLE · Path of a USD payment from Beirut to Shenzhen (simplified)

1. An importer instructs its bank in Lebanon to pay USD 120,000 to a supplier at a bank in Shenzhen.
2. The Lebanese bank debits the importer's account and sends a customer payment message to its USD correspondent in New York (bank A), which holds the Lebanese bank's nostro account.
3. If the Chinese bank's USD correspondent is a different US bank (bank B), bank A pays bank B through a US system (e.g., Fedwire or CHIPS), with cover messages identifying the original parties.
4. Bank B credits the Chinese bank's USD account; the Chinese bank credits the supplier (possibly converting to CNY).
5. Each bank screens the payment for sanctions and AML; any bank may hold or reject it.

Fees can be deducted along the chain unless the charges code is **OUR** (payer pays all charges). Codes: **OUR** (sender pays all), **SHA** (shared: each party pays its own bank), **BEN** (beneficiary pays all, deducted from the amount).

COMMON MISTAKES · Why the supplier received less than the invoice amount

Under SHA or BEN, intermediary banks deduct fees, so a supplier invoicing USD 120,000 may receive USD 119,960. Contracts should specify that payments are made in full "free of bank charges outside the payer's country" or specify OUR — otherwise disputes over small shortfalls delay shipments and document releases.

48.4 SWIFT and ISO 20022

SWIFT is a member-owned cooperative that provides secure financial **messaging** between institutions; it does not hold accounts or move money itself. Each institution has a **BIC** (business identifier code, e.g., 8 or 11 characters). Accounts are identified by account numbers or **IBANs** (international bank account numbers used in Europe, the Middle East and elsewhere).

Traditional MT message	Use	ISO 20022 (MX) equivalent
MT103	Single customer credit transfer	pacs.008
MT202 / MT202 COV	Bank-to-bank transfer / cover payment	pacs.009 (and pacs.009 COV)
MT940 / MT950	Account statements	camt.053
MT900 / MT910	Debit / credit confirmation	camt.054
MT101	Request for transfer (corporate to bank)	pain.001 (customer initiation)
MT700	Issue of a documentary credit	Trade messages remain largely MT (category 7) at the time of writing
MT760	Guarantee / standby L/C	MT (revised in 2021 with URDG-aligned fields)
MT799 / MT999	Free-format messages	Free-format equivalents

SWIFT migrated cross-border payment instructions to **ISO 20022**, with the coexistence period for MT payment messages ending in November 2025; trade-finance messages follow separate timelines. ISO 20022 carries richer, structured data (structured addresses, purpose codes, remittance information), which im-

proves sanctions screening and automated reconciliation. **SWIFT gpi** adds end-to-end tracking through a unique transaction reference (UETR). Verify current SWIFT standards and timelines before implementing.

PROFESSIONAL INSIGHT · Why this matters to a CS-minded finance professional

Structured payment data enables straight-through processing: matching incoming payments to invoices automatically (cash application), screening with fewer false positives, and real-time tracking. Treasury technology projects often consist of mapping ERP payment files to bank formats (pain.001), consuming bank statements (camt.053) through APIs or host-to-host connections, and automating reconciliation.

48.5 Value dates, cut-offs and timing

- **Value date:** the date funds are available and interest starts/stops.
- **Cut-off times:** latest time for same-day processing, varying by currency and bank.
- **Spot FX settlement:** typically T+2 for most currency pairs (T+1 for USD/CAD, among others).
- **Holidays:** a payment needs both currencies' settlement systems to be open; Friday–Saturday weekends in some Gulf countries historically created mismatches (the UAE moved to a Saturday–Sunday weekend in 2022).

48.6 Bank reconciliation

Bank reconciliation compares the company's cash ledger with the bank statement and explains differences.

Typical differences	Treatment
Outstanding payments (issued, not yet cleared)	Reconciling item; no entry
Deposits in transit	Reconciling item
Bank charges and interest not yet recorded	Record in the books
Direct debits / incoming transfers not yet recorded	Record in the books
Errors (bank or company)	Correct
Returned or rejected payments	Reverse and investigate

WORKED EXAMPLE · Reconciliation (fictional, USD)

Item	Amount
Balance per bank statement, 31 May	284,600
+ Deposit in transit (cheque received 31 May)	18,000
– Outstanding payments (two transfers released 31 May, value 1 June)	(42,500)
Adjusted bank balance	**260,100**
Balance per cash ledger, 31 May	262,450
– Bank charges not recorded	(350)
– Customer payment returned (insufficient details)	(2,000)
Adjusted ledger balance	**260,100**

Unreconciled differences that persist are red flags for errors or fraud. Daily automated reconciliation is now standard in well-run treasury functions.

PRACTICE · Practice questions

1. A supplier complains it received USD 49,950 instead of USD 50,000. Explain the likely cause and how to prevent it.
2. Map these to ISO 20022: a corporate's payment file to the bank; the bank's end-of-day statement; a cross-border customer transfer between banks.
3. Bank statement shows $105,000; ledger shows $112,300; outstanding cheques $9,500; deposit in transit $15,000; bank charges unrecorded $200; interest received unrecorded $1,400. Reconcile.

ANSWER · Answers to the practice questions

1. Intermediary or beneficiary bank charges deducted under SHA/BEN. Use OUR where available, agree in the contract who bears charges, or add an amount to cover expected charges.
2. pain.001 (customer credit transfer initiation); camt.053 (bank-to-customer statement); pacs.008 (FI-to-FI customer credit transfer).
3. Adjusted bank: 105,000 + 15,000 − 9,500 = **110,500**. Adjusted ledger: 112,300 − 200 + 1,400 = 113,500. Difference **3,000** remains unexplained → investigate (unrecorded payment, error, or irregularity).

CHAPTER 49

Trade, Working-Capital, Project and Structured Finance; Debt and Equity Capital Markets

LEARNING OBJECTIVES · In this chapter

Specialised forms of financing: trade finance (overview; Part VII has the detail), supply-chain and working-capital finance, project finance, structured and asset-based finance, and how banks help companies raise debt and equity in capital markets.

49.1 Trade finance — overview

Trade finance solves three problems in trade: **payment risk** (will I get paid / will I get the goods?), **financing** (who funds the time between paying the supplier and receiving cash from the buyer?), and **information/document handling**.

Instrument	Main purpose	Detail in
Documentary credit (L/C)	Payment security for the seller; document control for the buyer	Chapter 57
Documentary collection	Document control via banks without payment undertaking	Chapter 57
Bank guarantee / SBLC	Security for performance or payment	Chapter 57
Import loan / trust receipt	Finance the buyer after the bank pays under an L/C	This chapter and Part VII
Pre-shipment / packing credit	Finance the exporter to produce goods	This chapter
Post-shipment / export bill discounting	Advance to exporter against shipped documents or accepted drafts	This chapter
Forfaiting	Without-recourse purchase of medium-term trade receivables (often guaranteed/avalised)	This chapter
Receivables purchase / factoring	Sale of receivables	This chapter

49.2 Supply chain and working-capital finance

Technique	Who benefits	How it works
Payables finance (reverse factoring)	Large buyer and its suppliers	Buyer approves supplier invoices on a platform; bank pays suppliers early at a discount priced on the buyer's credit; buyer pays the bank at maturity
Receivables finance / invoice discounting	Seller	Bank advances against receivables (recourse or non-recourse)
Distributor finance	Manufacturer's distributors	Bank finances distributors' purchases, often with manufacturer support
Inventory finance	Holder of inventory	Loans against stock, often with collateral manager or warehouse receipts
Dynamic discounting	Buyer with surplus cash	Buyer itself pays early for a sliding discount

WORKED EXAMPLE · Payables finance economics (fictional)

A supplier invoices a large retailer $1,000,000 on 90-day terms. Supplier's own borrowing cost 11%; retailer is investment-grade, so the bank's discount rate on its risk is 6.0% p.a.

- Supplier receives early payment on day 10: discount = 1,000,000 × 6.0% × 80/360 = **$13,333** → receives $986,667.
- If the supplier had borrowed at 11% for 80 days instead: cost $24,444. Saving: **$11,111**.
- Retailer keeps 90-day terms (or negotiates 120 days), strengthening its working capital. Accounting and disclosure: buyers must disclose supplier finance arrangements (IFRS amendments effective 2024; US GAAP disclosures effective 2023); analysts may treat them as debt-like.

49.3 Project finance

Project finance funds a single, ring-fenced project (power plant, toll road, desalination plant, port) through a special purpose vehicle, with debt repaid **only from project cash flows** (non-recourse or limited recourse to sponsors).

Element	Description
Sponsors	Equity investors who develop the project (typically 20–35% equity)
SPV	Project company owning the assets and contracts
Offtake agreement	Long-term purchase contract (e.g., power purchase agreement) giving revenue certainty
EPC contract	Fixed-price, date-certain engineering, procurement and construction contract, with liquidated damages
O&M contract	Operations and maintenance
Lenders	Banks, DFIs, ECAs, bond investors
Security	All project assets, contracts, accounts, shares of the SPV; step-in rights
Key metrics	DSCR (often minimum 1.20–1.40×), loan life coverage ratio, debt-to-equity
Accounts	Waterfall of cash: operating costs → senior debt service → reserve accounts (DSRA) → distributions

WORKED EXAMPLE · DSCR sculpting

A solar project expects CFADS (cash flow available for debt service) of $12m per year for 18 years. Lenders require minimum DSCR 1.30× → maximum annual debt service = 12 ÷ 1.30 = **$9.23m**. At 7% over 18 years, the annuity factor is 10.0591 → maximum debt ≈ **$92.9m**. If the project costs $125m, equity must fund at least $32m (26%).

49.4 Structured and asset-based finance

- **Securitisation:** pooling receivables (mortgages, auto loans, trade receivables) into an SPV that issues securities in tranches; investors are paid from the pool's cash flows.
- **Asset-based lending (ABL):** borrowing bases over receivables, inventory and equipment.
- **Pre-export finance (PXF):** loans to commodity producers repaid from assigned export contracts.
- **Prepayment finance:** a trader or bank prepays a producer for future deliveries.
- **Structured commodity finance:** financing secured on commodities through storage, shipment and sale, with collateral managers and assignment of proceeds.
- **Acquisition and leveraged finance:** senior, second-lien and mezzanine debt for buyouts.

49.5 Debt capital markets (DCM)

Companies and governments raise debt by issuing **bonds** (or sukuk) to investors rather than borrowing from banks.

Step	Activity
Preparation	Choose arrangers/bookrunners; credit rating(s); legal documentation (prospectus/offering circular, trust deed or fiscal agency agreement); listing
Marketing	Investor roadshow or calls; initial price thoughts
Bookbuilding	Investors submit orders; pricing tightens if demand is strong
Pricing and allocation	Coupon set as benchmark yield + credit spread; allocation to investors
Settlement	Funds paid against securities, typically through Euroclear/Clearstream for Eurobonds
After issue	Coupon payments, covenant compliance, secondary trading

Bonds vs loans: bonds offer longer tenors, fixed rates, a diversified investor base and typically fewer maintenance covenants; loans offer flexibility, confidentiality, prepayment and relationship support.

49.6 Equity capital markets (ECM)

Investment banks help companies issue shares: **IPOs** (initial public offerings), **follow-on offerings**, **rights issues**, **private placements**, and **block trades** for existing shareholders. Steps for an IPO: readiness (governance, audited accounts, reporting systems), appointment of advisers, due diligence, prospectus, regulator approval, valuation and price range, bookbuilding, pricing, allocation, listing, stabilisation. Part X covers IPOs from the investor side.

PRACTICE · Practice questions

1. A supplier is offered payables finance at 5.5% p.a. on a $400,000 invoice paid 75 days early (act/360). What does it receive?
2. A project has CFADS of $20m per year for 15 years. Lenders require DSCR 1.35× and the interest rate is 8%. Estimate maximum debt (annuity factor 15 years at 8% = 8.5595).
3. Why might a company choose a bond rather than a bank loan for a 10-year financing?

ANSWER · Answers to the practice questions

1. Discount = 400,000 × 5.5% × 75/360 = **$4,583.33** → receives **$395,416.67**.
2. Max debt service = 20 ÷ 1.35 = 14.815 → max debt ≈ 14.815 × 8.5595 = **$126.8m**.
3. Longer tenor available, fixed rate locking in cost, broader investor base reducing dependence on banks, fewer maintenance covenants; downsides include public disclosure, rating requirements, issuance costs, and less flexibility to renegotiate.

CHAPTER 50

KYC, AML, Sanctions Screening, Bank Risk and Regulation

LEARNING OBJECTIVES · In this chapter

Why banks ask so many questions; the KYC and AML process; sanctions screening; the main risks banks manage; and the Basel framework for capital and liquidity — with what all this means for corporate clients.

50.1 KYC and customer due diligence

Banks must identify and verify their customers and understand their business, under national AML laws based on the **FATF Recommendations**.

Element	What the bank collects
Legal entity	Commercial registration, constitutional documents, licences, registered address
Ownership and control	Shareholder register, group structure chart, **ultimate beneficial owners** (commonly natural persons holding 25% or more, or exercising control; thresholds vary by jurisdiction)
Management and signatories	IDs, board resolutions, powers of attorney, signature specimens
Nature of business	Products, countries, customers, suppliers, expected transaction volumes and currencies
Source of funds / wealth	Especially for high-risk clients
Screening	Sanctions lists, PEP lists, adverse media
Risk rating	Low, medium, high → determines frequency of review and enhanced due diligence (EDD)

Periodic reviews (e.g., every 1–3 years depending on risk) and **trigger events** (change of ownership, unusual transactions) require updates. Failure to update KYC can lead to frozen accounts.

50.2 AML and transaction monitoring

Banks monitor transactions for patterns inconsistent with the customer's profile and report suspicions to the national **financial intelligence unit** (suspicious transaction/activity reports). Tipping off the customer is prohibited.

COMMON MISTAKES · Trade-based money laundering (TBML) red flags

- Over- or under-invoicing relative to market prices.
- Goods descriptions that are vague or inconsistent with the client's business.
- Multiple invoicing of the same shipment; phantom shipments.
- Payments from or to unrelated third parties or high-risk jurisdictions.
- Unusual shipping routes, transhipment through free zones without commercial reason.
- Frequent amendments to L/Cs changing beneficiaries or ports. (See guidance from FATF and the Wolfsberg Group on trade finance principles.)

50.3 Sanctions screening

Banks screen names (customers, counterparties, banks, vessels, ports, goods) against lists from the UN, OFAC (US), EU, UK (OFSI) and local authorities, plus ownership rules. **Payments are stopped** while alerts are investigated; true matches are blocked or rejected. For trade, banks also screen **vessels** (IMO numbers, flag, ownership, voyage history) and **dual-use goods**.

For corporates: provide complete, accurate payment details (full names and addresses, purpose), avoid vague descriptions, and expect delays for high-risk countries or goods.

50.4 The main risks a bank manages

Risk	Description	How managed
Credit risk	Borrowers or counterparties default	Credit analysis, limits, collateral, diversification, provisions, capital
Liquidity risk	Unable to meet outflows (deposit withdrawals, maturing funding)	Liquid asset buffers (LCR), stable funding (NSFR), contingency funding plans
Interest rate risk in the banking book (IRRBB)	Mismatch between repricing of assets and liabilities	Gap analysis, duration matching, swaps, limits on NII and economic value sensitivity
Market risk	Losses on trading positions (FX, rates, equities, commodities)	VaR and stress limits, hedging
Operational risk	Process, people, system failures, fraud, cyber	Controls, three lines model, insurance, resilience
Compliance and conduct risk	Breaches of laws and regulations, mis-selling	Compliance function, training, monitoring
Concentration risk	Large exposures to single names, sectors, countries	Large exposure limits
Strategic and reputational risk	Business model failure, loss of trust	Governance, strategy

50.5 Basel framework essentials

The **Basel Committee on Banking Supervision (BCBS)** sets global standards that national regulators implement (with local variations).

Pillar / standard	Content
Pillar 1 — minimum capital	Capital ≥ requirements for credit, market and operational risk, measured as % of risk-weighted assets (RWA)
Pillar 2 — supervisory review	Bank's own capital assessment (ICAAP); supervisor may require more
Pillar 3 — market discipline	Public disclosure
Basel III capital (post-2008 reforms)	Minimum CET1 4.5%, Tier 1 6%, total capital 8% of RWA, plus capital conservation buffer 2.5%, countercyclical buffer (0–2.5%), systemic buffers for systemically important banks
Leverage ratio	Tier 1 ÷ total exposure ≥ 3% (non-risk-based backstop)
Liquidity Coverage Ratio (LCR)	High-quality liquid assets ≥ net cash outflows over a 30-day stress (≥ 100%)
Net Stable Funding Ratio (NSFR)	Available stable funding ≥ required stable funding (≥ 100%)
Large exposures	Limits on exposure to a single counterparty group (generally 25% of Tier 1)
Basel III finalisation (sometimes called "Basel IV")	Revised standardised approaches, limits on internal models, output floor phasing to 72.5% — implementation timelines differ by jurisdiction

WORKED EXAMPLE · Why risk weights affect what banks offer you

Under the standardised approach, an unrated corporate exposure often carries a 100% risk weight; certain short-term, self-liquidating trade transactions receive favourable credit conversion factors (e.g., 20% for short-term documentary credits in the standardised approach). A $10m unfunded L/C line may therefore consume much less capital than a $10m loan. That partly explains why banks are often more willing to provide trade-finance lines than unsecured working-capital loans.

بالعربية — لماذا تطلب البنوك كل هذه المستندات؟

تلتزم البنوك بقوانين مكافحة غسل الأموال وتمويل الإرهاب المستندة إلى توصيات مجموعة العمل المالي (FATF)، وبقوانين العقوبات الدولية والمحلية. لذلك تطلب معرفة هوية العميل والمستفيد الحقيقي وطبيعة النشاط ومصدر الأموال، وتفحص كل عملية مقابل قوائم العقوبات. والتقصير في ذلك قد يعرّض البنك لغرامات ضخمة ولفقدان علاقاته مع البنوك المراسلة. كما تخضع البنوك لمعايير بازل لرأس المال والسيولة، مما يؤثر في نوع التمويل الذي تقدمه وتسعيره.

PRACTICE · Practice questions

1. A new client refuses to disclose the owners of a holding company in a secrecy jurisdiction. What will the bank do?
2. A bank has CET1 capital of $1.2bn and RWA of $11bn. Is it above the minimum CET1 plus conservation buffer? By how much?
3. A trading client's invoices for "electronic equipment" are 40% above market prices and paid by a third-party company in another country. What should the bank consider?

ANSWER · Answers to the practice questions

1. Without identifying UBOs the bank cannot complete KYC; it will decline onboarding (or exit the relationship) and may consider whether a suspicious activity report is warranted.
2. CET1 ratio = 1.2 ÷ 11 = **10.9%**; minimum + conservation buffer = 7.0% → surplus ≈ **3.9 pp** (~$429m), before any countercyclical, systemic or Pillar 2 add-ons.
3. TBML indicators (over-invoicing, vague goods, third-party payments): enhanced due diligence on the transactions and parties, request contracts and shipping documents, possibly decline the transactions, and consider filing a suspicious transaction report — without tipping off the client.

CHAPTER 51

Classifying Bank Products: Payment, Financing, Guarantee and Risk-Mitigation Instruments

LEARNING OBJECTIVES · In this chapter

A single map of bank products by commercial purpose, so you can tell immediately what a product does — and does not — do.

51.1 Four functions

1. **Payment instruments** move money or settle obligations.
2. **Financing instruments** provide funds (credit) for a period.
3. **Guarantee instruments** provide an undertaking to pay if something happens (or fails to happen).
4. **Risk-mitigation instruments** transfer or reduce a risk (credit, FX, interest rate, commodity, political).

Many products combine functions — the key professional skill is to identify which function each party is buying.

51.2 Master classification table

Product	Payment	Financing	Guarantee / undertaking	Risk mitigation	Who is protected / funded
Bank transfer (SWIFT, RTGS)	✔				Payer settles
Cheque / promissory note	✔ (instrument)	Possibly (post-dated)			Payee holds a claim
Overdraft / RCF		✔			Borrower funded
Term loan		✔			Borrower funded
Import loan / trust receipt		✔			Importer funded
Sight L/C	✔ (mechanism)		✔ (issuing bank undertakes)	✔ (seller's credit risk; buyer's document control)	Seller protected; buyer controls documents
Usance L/C	✔	✔ (deferred payment)	✔	✔	Buyer gets credit; seller protected
L/C confirmation			✔ (second bank)	✔ (issuing bank and country risk)	Seller
Documentary collection	✔ (mechanism)			Partial (document control only)	Seller (weakly)
Bank guarantee (performance, advance payment, bid)			✔	✔	Beneficiary (buyer/employer)
Payment guarantee / SBLC			✔	✔	Seller / lender
Factoring (non-recourse)		✔		✔ (buyer credit risk)	Seller funded and protected

Product	Payment	Financing	Guarantee / undertaking	Risk mitigation	Who is protected / funded
Invoice discounting (recourse)		✔			Seller funded
Forfaiting		✔		✔ (without recourse)	Exporter
Payables finance	✔ (early payment)	✔			Supplier funded
FX forward / swap	✔ (settlement)			✔ (FX risk)	Hedger
Interest rate swap / cap				✔ (rate risk)	Borrower
Commodity swap / futures (via bank/broker)				✔ (price risk)	Producer/consumer
Credit insurance (via insurer, often arranged with bank)				✔ (buyer default)	Seller / financing bank
Cash pooling	✔ (internal movement)	✔ (internal funding)		✔ (liquidity)	Group treasury
Escrow account	✔ (conditional release)		Partial	✔ (performance)	Both parties

COMMON MISTAKES · Distinctions beginners miss

- **An L/C is not a loan.** A sight L/C is a payment undertaking; the bank lends only if it pays and the applicant has not yet reimbursed (e.g., through an import loan).
- **A guarantee is not insurance.** A demand guarantee is paid against a compliant demand; the bank then claims reimbursement from its client (the applicant), who bears the loss. Insurance transfers the loss to the insurer.
- **Factoring with recourse does not transfer credit risk.** If the buyer does not pay, the seller must repay the factor.
- **Confirmation is not advising.** An advising bank authenticates and passes on the credit; a confirming bank adds its own payment undertaking.
- **A collection gives the seller no bank undertaking.** If the buyer refuses documents, the seller's goods are at a foreign port with no buyer.

PRACTICE · Practice questions

1. Classify each by primary function: (a) an advance-payment guarantee; (b) a 180-day usance L/C; (c) a cross-currency swap; (d) a trust receipt loan; (e) non-recourse receivables purchase.
2. An exporter says, "I have an L/C from my buyer, so I'm financed." Is that correct?

ANSWER · Answers to the practice questions

1. (a) Guarantee/risk mitigation (protects the buyer's advance); (b) payment + guarantee + financing (buyer gets 180 days); (c) risk mitigation (FX and interest) and possibly financing restructuring; (d) financing; (e) financing + risk mitigation (credit risk transfer).
2. Not necessarily. The L/C secures payment if compliant documents are presented; it does not fund production. The exporter may obtain financing *based on* the L/C (pre-shipment finance, discounting of a usance L/C after acceptance), but that is a separate facility.

SUMMARY · Part VI summary

- Banks are leveraged intermediaries that earn spreads and fees; capital, liquidity and credit losses drive their behaviour.
- Credit decisions rest on repayment from cash flow; collateral and guarantees are secondary protection.
- Facilities should match the purpose and tenor of the need; covenants are early-warning tools to be negotiated with headroom.
- Payments run through domestic systems and correspondent chains, with SWIFT messages increasingly in ISO 20022 format.
- KYC, AML and sanctions controls are legal obligations that shape what banks can do.
- Always identify whether a product pays, finances, guarantees or mitigates risk — and for whom.

PART VII

International Trade and Trade Finance

التجارة الدولية وتمويل التجارة

International trade is where commercial, logistical, legal and financial knowledge meet. One shipment involves a sales contract, an Incoterms rule, a carrier, an insurer, two customs authorities, at least two banks, a set of documents that must agree with each other, a payment method that allocates risk, and often financing and FX hedging. A mistake in any element can cost more than the margin on the deal.

This part follows a transaction from first enquiry to final payment, explains every document and payment method, the ICC rules that govern them (Incoterms® 2020, UCP 600, URC 522, URDG 758), customs procedures, disputes and claims, and ends with three complete simulated transactions — from a $5,000 air shipment to a $25 million export contract.

LEARNING OBJECTIVES · **Learning objectives for Part VII**

- Describe every participant in an international transaction and what each needs.
- Choose and apply the correct Incoterms® 2020 rule and understand its cost, risk and document consequences.
- Read and prepare the main trade documents and check them for consistency.
- Explain customs classification, valuation, origin, duties and taxes.
- Compare payment methods by risk and cost, and apply UCP 600, URC 522 and URDG 758.
- Handle discrepancies, payment disputes, cargo claims, demurrage and detention.
- Use credit insurance and export credit agencies, and recognise trade-based financial crime.
- Build complete transaction cost and profitability calculations.

STANDARD / FRAMEWORK · **The ICC rules referred to in this part**

The International Chamber of Commerce (ICC) publishes voluntary rules that apply when parties incorporate them into their contracts or instruments: **Incoterms® 2020** (delivery terms, effective 1 January 2020), **UCP 600** (Uniform Customs and Practice for Documentary Credits, 2007 revision), **ISBP 821** (International Standard Banking Practice for the examination of documents under UCP 600, 2023), **eUCP 2.1** (electronic presentations), **URC 522** (Uniform Rules for Collections, 1995 revision), **URDG 758** (Uniform Rules for Demand Guarantees, 2010 revision), and **ISP98** (International Standby Practices, published by the Institute of International Banking Law & Practice and endorsed by ICC). They are not laws: they bind because the contract or instrument says they apply, and mandatory local law prevails over them. Obtain the official texts from the ICC for actual transactions; this book summarises and paraphrases.

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CHAPTER 52

Anatomy of an International Transaction and Its Participants

LEARNING OBJECTIVES · In this chapter

The parties, the sequence of steps, and the flows of goods, documents, money and information in an international sale.

52.1 The participants

Participant	Role	What they want	Key documents they issue or need
Seller / exporter	Supplies goods	Payment in full, on time; minimal risk after delivery	Pro forma, commercial invoice, packing list, certificates
Buyer / importer	Purchases goods	Correct goods, on time, at agreed cost; pay only for what is shipped	Purchase order, L/C application, import declaration
Agent	Finds buyers/sellers for a principal; commission	Commission; protection against being bypassed	Agency agreement
Broker	Matches parties for a fee; not a party to the sale	Fee; confidentiality	Brokerage agreement, NCNDA (non-circumvention)
Distributor	Buys and resells in a territory	Margin, exclusivity, stable supply	Distribution agreement
Trading company	Buys and resells as principal across borders	Margin; financing; controlled risk	Back-to-back contracts
Freight forwarder	Organises transport and documents	Margin on freight; repeat business	House B/L or FCR, shipping instructions
Carrier (shipping line, airline, trucker)	Transports goods	Freight paid; equipment returned	B/L, AWB, CMR note
Customs broker / clearing agent	Files customs declarations	Fees	Declarations, duty payments
Inspection company	Verifies quantity/quality	Fees; independence	Inspection certificates
Insurer	Covers cargo risks	Premium; good risk	Policy / insurance certificate
Chamber of commerce / issuing authority	Certifies origin	Fees	Certificate of origin
Banks (issuing, advising, confirming, nominated, collecting, remitting)	Payment, guarantees, finance	Fees; documentary compliance; no fraud or sanctions breach	L/C, collection instruction, guarantees
Customs authorities (both countries)	Control, collect duties, enforce restrictions	Correct declarations; duties paid	Release orders
Ports and terminals	Handle cargo	Charges paid	Terminal receipts, delivery orders

Participant	Role	What they want	Key documents they issue or need
Credit insurer / ECA	Covers non-payment	Premium; underwriting information	Policies, guarantees

52.2 The sequence of a transaction

Phase	Steps	Main risks
1. Pre-contract	Enquiry, RFQ, quotation, samples, negotiation, KYC on counterparty, sanctions and export-control screening	Fraudulent counterparties; unrealistic prices
2. Contract	PO and acceptance or signed sales contract: goods, specs, quantity and tolerance, price and currency, Incoterms rule, delivery date, payment terms, documents, inspection, warranties, claims, force majeure, law and disputes	Ambiguity; terms not aligned with L/C
3. Payment security	Advance payment, L/C issuance and advising, collection instructions, guarantees, credit insurance	L/C terms impossible to comply with
4. Production and pre-shipment	Manufacturing, quality control, pre-shipment inspection, export licences, packing and marking	Delays, quality failure
5. Transport booking	Forwarder, booking, shipping instructions, container release, VGM (verified gross mass)	Missed vessel, rate changes
6. Export clearance and loading	Export declaration, customs release, loading, B/L issued	Documentary errors
7. Documents and payment	Seller assembles documents, presents to bank or sends to buyer; examination; payment or acceptance	Discrepancies; late presentation
8. Transit	Tracking; insurance in place	Loss, damage, delay, re-routing
9. Arrival and import	Arrival notice, delivery order (against original B/L or release), import declaration, duties, inspection, release	Demurrage, customs disputes
10. Delivery and after-sale	Inland transport, receipt, inspection, claims, final payment (open account), reconciliation	Quality claims, payment disputes

52.3 The four flows

1. **Goods:** seller → carrier → ports → buyer.
2. **Documents:** seller → (banks) → buyer → carrier/customs.
3. **Money:** buyer → (banks) → seller; plus payments to carriers, insurers, customs, brokers.
4. **Information:** quotations, bookings, tracking, notices, customs data — increasingly digital.

A transaction is safe when the flows are synchronised: the seller does not lose control of the goods (or the title documents) before being paid or secured, and the buyer does not pay before receiving goods or documents that control them.

بالعربية — الأطراف والمراحل في الصفقة الدولية

تشمل الصفقة الدولية البائع والمشتري، ووكلاء الشحن والناقلين، والمخلّصين الجمركيين، وشركات التفتيش والتأمين، والبنوك، والجمارك في بلدي التصدير والاستيراد. وتسير أربعة تدفقات متوازية: البضائع، والمستندات، والأموال، والمعلومات. والمبدأ الذهبي هو ألّا يفقد البائع السيطرة على البضاعة أو مستنداتها قبل أن يضمن الدفع، وألّا يدفع المشتري قبل أن يحصل على البضاعة أو على المستندات التي تمثلها.

PROFESSIONAL INSIGHT · Graduate vs professional

The graduate asks “what is the price?” The professional asks: Which Incoterms rule? Which payment method and who bears bank charges? Which documents, issued by whom, by when? What are the tolerances on quantity and the specifications? Who inspects, where, and whose certificate is final? Where are disputes resolved? What is the latest shipment date versus realistic production time? Can the L/C terms actually be complied with?

PRACTICE · Practice questions

1. Identify all parties involved when a Saudi distributor imports tiles from Spain under a confirmed L/C, CIF Dammam.
2. In which phase is each risk most likely: (a) the L/C requires a certificate the seller cannot obtain; (b) containers sit at the port for 12 days; (c) the buyer refuses goods claiming poor quality; (d) the seller is unknowingly dealing with an entity owned by a sanctioned person?

ANSWER · Answers to the practice questions

1. Spanish seller; Saudi buyer; buyer’s bank (issuing bank); a bank in Spain advising and confirming; possibly a nominated/negotiating bank; Spanish freight forwarder and shipping line; cargo insurer (contracted by the seller under CIF); Spanish customs; Chamber of Commerce (certificate of origin); inspection company if required; Saudi customs (ZATCA) and port operator; Saudi customs broker; inland trucker; Saudi conformity bodies where product certification is required.
2. (a) Phase 3 (payment security) — it should be caught when reviewing the L/C draft; (b) phase 9 (arrival and import); (c) phase 10, though prevention belongs to phases 2 and 4 (specifications and inspection); (d) phase 1 (screening).

CHAPTER 53

Incoterms® 2020 in Depth

LEARNING OBJECTIVES · In this chapter

The eleven Incoterms® 2020 rules: obligations, cost split, risk transfer, export and import clearance, insurance and documents, with guidance on choosing the right rule and common errors.

53.1 What Incoterms do and do not cover

They cover: delivery point, transfer of risk of loss or damage, allocation of costs (transport, loading/unloading, export/import clearance, security), obligations to obtain documents and provide information, insurance obligations (CIF and CIP only).

They do not cover: price and payment, transfer of ownership/title, breach of contract remedies, product quality, force majeure, dispute resolution, sanctions or export-control compliance. These must be in the sales contract.

DEFINITION · How to quote an Incoterms rule correctly

Rule + named place (as precise as possible) + version: “FCA Seller’s warehouse, 12 Industrial Road, Izmir, Incoterms® 2020” or “CIF Jebel Ali Port, Incoterms® 2020”. A vague place (e.g., “FOB China”) creates disputes about costs at the port.

53.2 The eleven rules

Rule	Full name	Mode	Seller delivers / risk passes	Seller pays main carriage	Insurance	Export clearance	Import clearance
EXW	Ex Works	Any	Goods at buyer’s disposal at seller’s premises, not loaded	No	None	Buyer	Buyer
FCA	Free Carrier	Any	Handed to buyer’s carrier at named place (loaded if at seller’s premises)	No	None	Seller	Buyer
CPT	Carriage Paid To	Any	Handed to first carrier	Yes, to named destination	None	Seller	Buyer
CIP	Carriage and Insurance Paid To	Any	Handed to first carrier	Yes	Seller; minimum ICC (A) / all risks, 110%	Seller	Buyer
DAP	Delivered at Place	Any	At named destination, on arriving transport, ready for unloading	Yes	None required (seller bears risk to destination)	Seller	Buyer
DPU	Delivered at Place Unloaded	Any	Unloaded at named destination	Yes	None required	Seller	Buyer
DDP	Delivered Duty Paid	Any	At destination ready for unloading, import-cleared, duties paid	Yes	None required	Seller	Seller

Rule	Full name	Mode	Seller delivers / risk passes	Seller pays main carriage	Insurance	Export clearance	Import clearance
FAS	Free Alongside Ship	Sea/inland waterway	Alongside the vessel at port of shipment	No	None	Seller	Buyer
FOB	Free on Board	Sea/inland waterway	On board the vessel at port of shipment	No	None	Seller	Buyer
CFR	Cost and Freight	Sea/inland waterway	On board at port of shipment	Yes, to destination port	None	Seller	Buyer
CIF	Cost, Insurance and Freight	Sea/inland waterway	On board at port of shipment	Yes	Seller; minimum ICC (C), 110%	Seller	Buyer

53.3 Two families and two critical points

- **E, F rules (EXW, FCA, FAS, FOB):** the buyer contracts the main carriage. Delivery and risk transfer at origin.
- **C rules (CPT, CIP, CFR, CIF):** the seller contracts and pays the main carriage, but **risk passes at origin** (on handing to the carrier / on board). These are **shipment contracts** with two critical points: risk point (origin) and cost point (destination).
- **D rules (DAP, DPU, DDP): arrival contracts**; the seller bears risk until the goods reach the destination.

COMMON MISTAKES · **The most common Incoterms errors**

1. **Using FOB/CFR/CIF for containers.** Containerised goods are handed to the carrier at an inland terminal or container yard days before loading on board. Under FOB the seller keeps risk until the goods are on board, though it has lost control. FCA/CPT/CIP fit container traffic better.
2. **EXW for exports.** The buyer is responsible for export clearance, but often cannot act as exporter in the seller's country; VAT and export evidence problems follow. FCA at seller's premises is usually better.
3. **DDP without understanding import taxes.** The seller becomes liable for import duties and VAT, needs local registration or an importer of record, and bears customs risk.
4. **Believing CIF means the seller bears risk during the voyage.** It does not: risk passes on loading; the insurance protects the buyer.
5. **Insufficient insurance under CIF.** ICC (C) is minimal (major casualties only); buyers often need ICC (A) and should specify it.
6. **Named place too vague,** leading to disputes about terminal handling and port charges.
7. **Mismatch between the sales contract, the L/C and the documents** (e.g., L/C asks for an on-board B/L under FCA without using the FCA on-board B/L option).

53.4 Costs: who pays what (typical container shipment)

Cost element	EXW	FCA (seller's premises)	FOB	CFR/ CPT	CIF/ CIP	DAP	DPU	DDP
Packing and marking	S	S	S	S	S	S	S	S
Loading at seller's premises	B	S	S	S	S	S	S	S

Cost element	EXW	FCA (seller's premises)	FOB	CFR/ CPT	CIF/ CIP	DAP	DPU	DDP
Inland transport to port/terminal	B	B	S	S	S	S	S	S
Export clearance and duties	B	S	S	S	S	S	S	S
Origin terminal handling	B	B	S*	S	S	S	S	S
Main carriage (freight)	B	B	B	S	S	S	S	S
Cargo insurance	(B)	(B)	(B)	(B)	S	(S)	(S)	(S)
Destination terminal handling	B	B	B	B**	B**	S**	S	S
Unloading at destination	B	B	B	B	B	B	S	B
Import clearance, duties, taxes	B	B	B	B	B	B	B	S
Delivery to buyer's premises	B	B	B	B	B	S (if named place)	S	S

S = seller, B = buyer, (x) = not obliged but bears the risk, so normally insures. *Under FOB, costs until goods are on board are the seller's; terminal handling practices vary by port. **Destination charges under C and D rules depend on what the carriage contract includes — specify them to avoid double charging.

53.5 Choosing a rule

Situation	Recommended rule	Why
Containerised export, buyer has a strong forwarder	FCA (seller's premises or terminal)	Risk passes when goods handed over; seller handles export clearance
Containerised export, seller controls freight	CPT or CIP	Seller can earn on freight; risk passes early
Bulk commodity by sea	FOB, CFR, CIF	Goods loaded directly over the ship's rail; matches charter-party practice
Buyer wants door delivery but will import-clear	DAP	Seller delivers, buyer handles customs
Seller has local import capability in buyer's country	DDP	Full service; seller controls customs
L/C transaction requiring on-board B/L with FCA	FCA with the 2020 on-board B/L option (A6/B6)	Allows the buyer to instruct its carrier to issue an on-board B/L to the seller
Buyer collects from factory, domestic trade	EXW (domestic)	Simple

WORKED EXAMPLE · How the rule changes the seller's price (fictional container shipment)

Ex-works price of goods: $40,000. Costs: loading $150; inland haulage to port $600; export clearance $200; origin terminal $250; sea freight $2,400; insurance ICC (A) 0.15% of 110% CIF ≈ $72; destination terminal $300; import duty 5% of CIF; import clearance $250; delivery to buyer $400.

Rule	Seller's quoted price (approx.)
EXW	40,000
FCA seller's premises	40,000 + 150 + 200 = **40,350**
FOB port of shipment	40,350 + 600 + 250 = **41,200**
CFR destination port	41,200 + 2,400 = **43,600**

Rule	Seller's quoted price (approx.)
CIF destination port	43,600 + 72 = **43,672**
DAP buyer's warehouse (incl. destination terminal and delivery)	43,672 – 72 + 300 + 400 = **44,300** (seller would also insure at its own choice)
DDP buyer's warehouse	44,300 + duty 5% × 43,672 ≈ 2,184 + clearance 250 = **46,734** (plus import VAT if not recoverable by seller)

The buyer's total landed cost is roughly the same under any rule if costs are passed through at cost; what changes is **who controls** each service, **who bears the risk**, and who earns or loses on cost changes.

بالعربية — قواعد إنكوتيرمز 2020

تحدد قواعد إنكوتيرمز مكان التسليم ولحظة انتقال المخاطر وتوزيع التكاليف بين البائع والمشتري، لكنها لا تحدد انتقال الملكية ولا طريقة الدفع ولا جزاءات الإخلال بالعقد. في مجموعة القواعد التي تبدأ بحرف C يدفع البائع أجرة النقل إلى بلد الوصول، لكن المخاطر تنتقل إلى المشتري عند الشحن في بلد التصدير. أما قواعد D فهي عقود وصول يتحمل فيها البائع المخاطر حتى المكان المسمى في بلد المشتري. وللحاويات يُفضَّل استخدام FCA أو CPT أو CIP بدلاً من FOB أو CFR أو CIF.

PRACTICE · Practice questions

1. A Chinese supplier quotes "FOB Shanghai" for goods delivered in containers to a terminal 5 days before vessel loading. A fire at the terminal destroys the container on day 3. Who bears the loss under FOB? Under FCA terminal?
2. An Egyptian importer buys CIF Alexandria and the insurer offers only ICC (C). What risks are not covered, and what should the importer do?
3. A UAE seller sells DDP Riyadh. Which obligations does the seller take on that it would not have under DAP?
4. Recommend an Incoterms rule for: (a) 30,000 tonnes of wheat from Ukraine to Egypt, buyer charters the vessel; (b) machine parts by air from Germany to Jordan, seller has a good forwarder; (c) furniture in containers from Malaysia, buyer has a nominated forwarder.

ANSWER · Answers to the practice questions

1. Under FOB the seller bears risk until goods are on board — the **seller** bears the loss (even though the terminal had custody). Under FCA (delivery at the terminal), risk passed to the **buyer** when the goods were handed to the carrier — buyer bears the loss (and claims on its insurance).
2. ICC (C) covers major casualties (fire, explosion, stranding, sinking, collision, jettison, general average) but not, for example, theft, rough handling damage, water damage outside named perils. The importer should require ICC (A) in the contract or buy additional cover itself.
3. Import clearance in Saudi Arabia, payment of customs duties and import VAT (15%, verify current rate), compliance with Saudi product certification and labelling rules, acting as or appointing an importer of record — and bearing the risk of customs delays and reassessments.
4. (a) **FOB** (Black Sea port) — the buyer charters the vessel; (b) **CPT or CIP Amman** (air, seller controls transport); (c) **FCA** (Port Klang terminal or seller's premises), buyer's forwarder.

CHAPTER 54

International Trade Documents

LEARNING OBJECTIVES · In this chapter

The purpose, issuer, key fields, common errors and commercial consequences of each major trade document, with annotated training templates. Further templates are in the Document Library (Volume 9).

54.1 Document map

Document	Issued by	Purpose	Needed by
Request for quotation (RFQ)	Buyer	Ask for price and terms	Seller
Quotation / offer	Seller	Price, terms, validity	Buyer
Pro forma invoice	Seller	Preliminary invoice for advance payment, L/C application, import licence	Buyer, buyer's bank, authorities
Purchase order (PO)	Buyer	Formal order	Seller
Sales contract	Both	Full terms of sale	Both, banks, arbitrators
Commercial invoice	Seller	Demand for payment; basis for customs value	Buyer, banks, customs
Packing list	Seller	Contents, weights, dimensions per package	Buyer, customs, forwarder, inspectors
Certificate of origin	Chamber of commerce / authority (or exporter under some FTAs)	Proves origin for duties, preferences, restrictions	Customs, buyer, banks
Bill of lading	Carrier or its agent (or NVOCC)	Receipt, evidence of carriage contract, document of title	Buyer, banks, carrier
Sea waybill	Carrier	Receipt and contract evidence (non-negotiable)	Consignee
Air waybill	Airline or agent	Receipt and contract evidence (non-negotiable)	Consignee
Road (CMR) / rail consignment note	Carrier	Contract and receipt for road/rail carriage	Consignee
Insurance certificate / policy	Insurer	Evidence of cover; enables claims	Buyer, banks
Inspection certificate	Independent inspector	Quantity/quality/condition at a point	Buyer, banks, customs
Phytosanitary / health / halal certificates	Authorities / certified bodies	Plant, animal, food safety, religious compliance	Import authorities
Conformity certificates	Accredited bodies	Product standards compliance (e.g., national conformity schemes)	Import authorities
Export declaration	Exporter / broker	Export customs control and statistics	Export customs
Import declaration	Importer / broker	Import customs, duty assessment	Import customs

Document	Issued by	Purpose	Needed by
Delivery order	Carrier's agent	Authorises release of cargo at destination	Terminal, importer
Shipping instructions	Shipper	Instructions to forwarder/carrier for B/L	Forwarder, carrier
Bill of exchange (draft)	Seller (drawer)	Order to pay; used under collections and L/Cs	Banks, buyer

54.2 The commercial invoice

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Commercial Invoice (training template)

Seller: Pearl River Lighting Co., Ltd (fictional), Shenzhen, China · **Invoice no.:** PRL-2026-0418 · **Date:** 18 April **Buyer:** Cedar Bright Trading SAL (fictional), Beirut, Lebanon · **Buyer's order:** CBT-PO-117 **Terms of delivery:** CFR Beirut Port, Incoterms® 2020 · **Payment:** 30% T/T advance, 70% against copy of B/L **Shipment:** Yantian to Beirut, vessel *Training Star* (fictional) V.026E, B/L no. TRS260418, on-board 25 April **Country of origin:** China · **HS code (6-digit):** 9405.11

Item	Description	Qty	Unit	Unit price (USD)	Amount (USD)
1	LED panel light 600×600 mm, 40 W, 4000 K, model PL-6040	1,200	pcs	9.80	11,760.00
2	LED high-bay light 150 W, IP65, model HB-150	300	pcs	31.50	9,450.00
				Total CFR Beirut	**21,210.00**
				Less 30% advance received	(6,363.00)
				Balance due	**14,847.00**

Amount in words: Twenty-one thousand two hundred ten US dollars · **Marks:** CBT/BEIRUT/1–150 **Signed:** for and on behalf of the seller

Annotation: The invoice is the basis of the customs value (with freight/insurance adjustments) and of payment. Under an L/C, UCP 600 article 18 requires it to appear issued by the beneficiary, be made out in the applicant's name, in the credit's currency, with a goods description corresponding to the credit. Common errors: wrong Incoterms rule, description different from the L/C, arithmetic errors, missing HS code where the importing country requires it, value inconsistent with the B/L or insurance.

54.3 The packing list

States for each package: marks and numbers, contents, quantity, net and gross weight, dimensions/volume; totals must match the B/L and invoice. Customs use it to select packages for examination; the buyer uses it to receive goods; the forwarder to plan loading. Errors cause customs delays and claims disputes.

54.4 The bill of lading

Field	Meaning	Why it matters
Shipper	Party shipping the goods (usually seller)	Must match L/C requirements
Consignee	"To order", "to order of [bank]" or named party	Determines negotiability and who can claim goods

Field	Meaning	Why it matters
Notify party	Party informed on arrival	Usually the buyer or its agent
Vessel and voyage, port of loading, port of discharge	Transport details	Must match contract/L/C
Place of receipt / delivery	For combined transport	Determines carrier responsibility
Description of goods, marks, packages, weights	As declared by shipper ("said to contain")	Must not conflict with invoice; carrier usually does not verify container contents
Freight	"Freight prepaid" or "freight collect"	Must match Incoterms (prepaid under C/D rules)
On-board notation and date	Goods loaded on named vessel on date	Shipment date for L/C; risk transfer under FOB/CFR/CIF
Clean	No clause declaring defective condition of goods or packaging	Banks reject "unclean" B/Ls under L/Cs
Number of originals	E.g., "3/3"	Full set needed to control goods
Signature	Carrier, master, or named agent for them	UCP 600 art. 20 requirements

COMMON MISTAKES · **Bill of lading risks**

- **Release without original B/L:** carriers sometimes release cargo against a letter of indemnity; if the buyer has not paid, the seller (or its bank) may lose control of the goods — and the carrier may be liable to the holder of the original B/L.
- **Telex release / express release:** the seller surrenders originals at origin; goods are released to the consignee without originals — only safe once payment is secured.
- **Switch B/Ls:** issuing a second set (e.g., changing shipper or port details) is legitimate in some trading chains but also a common tool of fraud and sanctions evasion.
- **Ante-dated or post-dated B/Ls** to meet L/C deadlines are fraudulent.
- **House B/L vs master B/L:** a buyer holding a forwarder's house B/L must also ensure the forwarder controls the master B/L.

54.5 Air waybill, road and rail documents

The **air waybill (AWB)** is not a document of title; goods are delivered to the named consignee. To keep control in air shipments under L/Cs or collections, the consignee is often the buyer's bank. Road (CMR convention) and rail (CIM) consignment notes are likewise not documents of title.

54.6 Certificate of origin

Two main types: **non-preferential** (general proof of origin, e.g., for trade statistics, anti-dumping, sanctions, labelling) and **preferential** (enabling reduced duties under a trade agreement, issued in specific forms or by approved exporter declarations, e.g., EUR.1 for some EU agreements, GAFTA/Arab certificate). Origin is determined by **rules of origin** (wholly obtained, change in tariff classification, value-added thresholds, specific processes), not simply by the country of shipment.

54.7 Insurance document

Under CIF/CIP and many L/Cs: an insurance policy or certificate (UCP 600 art. 28) for at least 110% of the CIF/CIP value (unless otherwise required), in the credit's currency, covering from the place of shipment, dated no later than the shipment date (or showing cover effective from that date), covering the risks re-

quired (e.g., Institute Cargo Clauses (A), war and strikes clauses), and endorsed or made out so the holder can claim.

54.8 Inspection certificates

Issued by independent inspection companies for quantity (weight, count), quality (specifications, laboratory analysis), condition, and loading supervision. Contracts must state **who appoints** the inspector, **where** inspection occurs (loading or discharge), and whether the result is **final and binding** — commodity contracts often specify "quality and weight final at loading as per independent inspector's certificate".

54.9 Customs and regulatory documents

Export and import declarations (electronic, via single-window systems in many countries), licences for controlled goods, conformity certificates (e.g., national product-safety schemes), health and phytosanitary certificates, halal certificates, dangerous-goods declarations (IMDG for sea, IATA DGR for air), and verified gross mass (VGM) under SOLAS for containers.

PRACTICE · Practice questions

1. Check the consistency of this set: invoice says "CIF Aqaba, 500 cartons, gross 10,500 kg"; packing list totals 500 cartons, gross 10,050 kg; B/L shows "freight collect", 500 cartons, 10,050 kg; insurance certificate value $55,000 against invoice $52,000. Identify problems.
2. Why do banks want B/Ls "to order of the issuing bank" under L/Cs?
3. Your buyer asks you to telex-release the cargo because originals will arrive late. Payment is "against documents through the bank (D/P)". What do you do?

ANSWER · Answers to the practice questions

1. Gross weight mismatch (10,500 vs 10,050) between invoice and other documents; "freight collect" is inconsistent with CIF (seller must prepay freight; B/L should say "freight prepaid"); insurance $55,000 is below 110% of $52,000 = $57,200 (under UCP 600 default rule, if the L/C requires CIF insurance). All are potential discrepancies.
2. The bank controls the goods until the applicant reimburses it: the B/L must be endorsed by the bank for the buyer to obtain the goods, giving the bank security.
3. Refuse unless payment is first received or secured (e.g., a bank guarantee); a telex release would let the buyer take the goods without paying, defeating the D/P collection.

CHAPTER 55

Customs Clearance, Valuation, Duties and Taxes

LEARNING OBJECTIVES · In this chapter

How goods cross borders legally: classification, valuation, origin, duties and import taxes, procedures and special regimes, and the role of customs brokers — with calculations.

55.1 The three questions customs asks

1. **What is it?** — tariff classification (HS code), which determines the duty rate and any restrictions.
2. **What is it worth?** — customs value, to which ad valorem duties apply.
3. **Where is it from?** — origin, which determines preferential rates, anti-dumping duties, quotas and sanctions.

Plus: Is it allowed (licences, prohibitions, standards)? Who is responsible (importer of record)?

55.2 Classification: the Harmonized System

The **HS**, maintained by the World Customs Organization (WCO), classifies goods with a 6-digit code used by over 200 economies; countries extend it to 8–12 digits. The nomenclature is revised roughly every five years (HS 2022 is current at the time of writing; HS 2027 has been adopted for future implementation). Classification follows the **General Interpretive Rules (GIRs)**; disputes are common for multifunction products, kits and parts.

PROFESSIONAL INSIGHT · Practical classification steps

1. Get a precise technical description (material, function, use, composition).
2. Identify the section and chapter; read section and chapter notes.
3. Apply the GIRs; check national subheadings and explanatory notes.
4. For significant volumes, request an **advance (binding) tariff ruling** from customs.
5. Keep classification decisions documented and consistent across shipments.

55.3 Customs valuation

Most countries follow the **WTO Customs Valuation Agreement** (Agreement on Implementation of Article VII of GATT 1994), with six methods applied in order:

Order	Method	When used
1	Transaction value — price actually paid or payable, with adjustments	Default; applies in the large majority of imports
2	Transaction value of identical goods	When method 1 cannot apply (e.g., related-party price influenced)
3	Transaction value of similar goods	
4	Deductive value (resale price in importing country minus profit, costs)	
5	Computed value (cost of production + profit + overheads)	

Order	Method	When used
6	Fall-back (reasonable means consistent with the agreement)	

Adjustments to transaction value typically add: commissions (other than buying commissions), packing costs, assists (tools, moulds supplied free by the buyer), royalties and licence fees related to the goods and payable as a condition of sale, proceeds of resale accruing to the seller; and — in countries using a CIF basis — freight and insurance to the place of importation. Many countries (including the GCC) use **CIF value**; the US uses an FOB-type basis.

55.4 Duties and import taxes

Charge	Basis	Notes
Customs duty (ad valorem)	% of customs value	The GCC common external tariff applies 5% to most goods, with exemptions and higher rates for some products (e.g., tobacco); verify current schedules
Specific duty	Amount per unit/weight	Common on alcohol, tobacco, some agricultural goods
Anti-dumping / countervailing / safeguard duties	Additional duties on specific products/origins	Must be checked by HS code and origin
Import VAT / GST	% of (customs value + duty + other charges)	Recoverable for registered businesses in most VAT systems; rates differ by country (e.g., UAE 5%, Saudi Arabia 15%, Bahrain 10% as of the time of writing — verify)
Excise taxes	Specific products (tobacco, sugary drinks, energy drinks)	Several GCC states apply excise taxes
Fees	Port, inspection, documentation, legalisation	Local

WORKED EXAMPLE · Import duty and VAT calculation (fictional, Saudi-style VAT at 15% for illustration)

Goods: FOB $80,000; freight $3,200; insurance $120 → CIF **$83,320**. Duty 5% → **$4,166**. VAT 15% on (83,320 + 4,166) = 15% × 87,486 = **$13,122.90**. Customs clearance and port charges $900.

- Cash paid at import: duty 4,166 + VAT 13,122.90 + charges 900 = **$18,188.90**.
- Cost to a VAT-registered importer (VAT recoverable): 4,166 + 900 = **$5,066** plus CIF.
- The VAT is a cash-flow cost until recovered — significant for working capital (two to three months).

55.5 Origin and preferential trade

Preferential duty requires (1) goods meeting the agreement's **rules of origin**, (2) direct transport or permitted transit, and (3) a valid **proof of origin**. Customs can verify origin retroactively; if certificates are found invalid, the importer pays back-duties and possibly penalties. Non-preferential origin matters for anti-dumping duties, sanctions, country-of-origin labelling and public procurement.

55.6 Customs procedures and special regimes

Regime	Purpose	Business use
Release for free circulation (home use)	Normal import with duties paid	Standard

Regime	Purpose	Business use
Customs warehousing / bonded warehouse	Store goods with duties suspended	Distribution hubs; re-exports
Free zones	Goods enter without duties; duties due when entering the domestic market	Regional trading and logistics (e.g., Jebel Ali Free Zone)
Temporary admission	Temporary import with duty suspension (exhibitions, equipment); often under ATA Carnet	Trade fairs, project equipment
Inward processing	Import inputs duty-suspended for processing and re-export	Manufacturing for export
Transit	Movement through a country under customs control	Land transit corridors
Re-export	Export of previously imported goods; duty refunds in some cases	Trading hubs
Authorised Economic Operator (AEO)	Trusted-trader status (WCO SAFE Framework)	Faster clearance, fewer inspections

55.7 The customs broker's role

Customs brokers (clearing agents) prepare and file declarations, classify goods, calculate duties, arrange inspections, and liaise with customs. The **importer of record** remains legally responsible for the declaration in most countries — choose brokers carefully and review their work.

COMMON MISTAKES · Customs risks that destroy margins

- Misclassification leading to back-duties and penalties years later.
- Under-valuation (including undeclared royalties or assists) — treated as fraud.
- Invalid preferential origin certificates.
- Missing product-conformity certificates causing goods to be held or re-exported.
- Duty payable on CIF when you priced on FOB.
- Demurrage and storage charges accumulating while documents are corrected.

PRACTICE · Practice questions

1. CIF value $120,000; duty 12%; VAT 14% on duty-paid value; clearance $1,100. Compute total import cash outflow and the non-recoverable cost for a VAT-registered importer.
2. An importer pays a royalty of 5% of resale value to the foreign brand owner as a condition of sale. Is it part of customs value? Why does it matter?
3. Why do traders use free zones in the Gulf for regional distribution?

ANSWER · Answers to the practice questions

1. Duty = 14,400; VAT = 14% × 134,400 = 18,816; total cash = 14,400 + 18,816 + 1,100 = **$34,316**. Non-recoverable cost = 14,400 + 1,100 = **$15,500** (VAT recovered later).
2. Generally yes — royalties related to the goods and payable as a condition of sale are added to transaction value under the WTO Agreement. Omitting them under-declares value, risking back-duties and penalties.
3. Goods can be stored, repacked and re-exported without paying duties; duty is paid only on goods entering the local market; plus logistics infrastructure, 100% foreign ownership regimes in many free zones, and fast clearance.

CHAPTER 56

Payment Methods in International Trade: Advance Payment, Open Account, Collections, Letters of Credit and Guarantees

LEARNING OBJECTIVES · In this chapter

The five payment methods ranked by risk, the mechanics and rules of documentary collections (URC 522), letters of credit (UCP 600), standby letters of credit (ISP98/UCP 600) and demand guarantees (URDG 758), with timelines, costs and choice criteria.

56.1 The risk ladder

Method	Seller's risk	Buyer's risk	Cost	When used
Advance payment (cash in advance)	Lowest	Highest (pays before goods)	Low	New/risky buyers, small orders, custom goods, strong seller bargaining power
Letter of credit (especially confirmed)	Low (if documents comply)	Low-medium (pays against documents, not goods)	Higher (bank fees)	New relationships, large values, risky countries
Documentary collection (D/P, D/A)	Medium (buyer may refuse documents)	Low-medium	Moderate	Established relationships, moderate risk
Open account	Highest (ships, then waits)	Lowest	Lowest	Trusted relationships, competitive markets; often with credit insurance or receivables finance
Consignment	Highest (paid only when goods resold)	Lowest	—	Distribution, new market entry

Advance payment and open account are often combined with **bank guarantees** (advance-payment guarantee protects the buyer; payment guarantee/SBLC protects the seller) or **credit insurance**.

56.2 Advance payment

The buyer pays all or part before shipment (or before production). The buyer's protection: an **advance-payment guarantee (APG)** from the seller's bank, refund guarantees, or escrow. Many contracts use partial advances: e.g., 30% with order, 70% against copy of B/L — the seller should keep the original B/L until the balance is paid.

56.3 Open account

Goods and documents go directly to the buyer; payment is due at an agreed date (e.g., 60 days from invoice). Dominant in trade between affiliated companies and established partners (a majority of world trade by value is on open account). Seller protections: credit limits, credit insurance, receivables finance (with or without recourse), SBLC as payment security, retention of title clauses (effectiveness depends on law), and close monitoring.

56.4 Documentary collections (URC 522)

The seller's bank (**remitting bank**) sends documents to the buyer's bank (**collecting/presenting bank**) with instructions to release them only against:

- **D/P — documents against payment** (at sight), or
- **D/A — documents against acceptance** of a bill of exchange payable at a future date (e.g., 90 days after sight); the buyer receives documents (and goods) and is legally bound on the accepted draft, but the seller now has payment risk on the buyer.

Key points of URC 522:

- Banks act on the collection instruction; they have **no obligation to pay** and do not examine documents beyond checking they appear as listed.
- Goods should not be consigned to a bank without its prior agreement.
- If documents are unpaid/unaccepted, the presenting bank informs the remitting bank; **protest** for non-payment or non-acceptance happens only if instructed.
- Charges: specify who pays; if the buyer refuses charges, the bank may release documents without collecting them unless the instruction says charges may not be waived.

> **COMMON MISTAKES · The seller's main risk in collections**
>
> If the buyer refuses to pay or accept, the goods sit at the destination port accumulating demurrage and storage charges, and the seller must find another buyer, ship them back, or abandon them. D/P protects against losing the goods without payment, not against non-acceptance. It suits reliable buyers in stable countries with goods easy to resell.

56.5 Letters of credit (UCP 600)

Parties and roles

Party	Role
Applicant	Buyer requesting the credit
Issuing bank	Buyer's bank; gives the irrevocable undertaking to honour complying presentations
Beneficiary	Seller
Advising bank	Authenticates the credit and advises it to the beneficiary (no payment obligation unless it confirms)
Confirming bank	Adds its own irrevocable undertaking at the issuing bank's request/authorisation
Nominated bank	Bank authorised to honour or negotiate (e.g., "available with any bank by negotiation")
Reimbursing bank	Pays claims from nominated/confirming bank on behalf of the issuing bank

Core principles (paraphrasing UCP 600)

- **Irrevocability:** a credit is irrevocable even if it does not say so (art. 3).
- **Independence:** the credit is separate from the sales contract; banks are not concerned with the contract (art. 4).
- **Documents, not goods:** banks deal with documents, not with goods or services (art. 5).
- **Complying presentation:** documents must comply with the credit terms, UCP 600 and international standard banking practice (ISBP) (art. 2, 14).
- **Examination time:** banks have a **maximum of five banking days** following the day of presentation to determine compliance (art. 14(b)).

- **Presentation period:** if the credit requires an original transport document, presentation must be made not later than **21 calendar days after the date of shipment**, and in any case not later than the expiry date (art. 14(c)).
- **Data consistency:** data need not be identical but must not conflict with other documents or the credit (art. 14(d)).
- **Refusal:** a bank refusing must give a **single notice** stating all discrepancies (art. 16); otherwise it is precluded from claiming non-compliance.
- **Tolerances:** "about" or "approximately" allows ±10% on amount, quantity or unit price; ±5% quantity tolerance applies where quantity is not stated in packing units or individual items and the drawing does not exceed the credit amount (art. 30).
- **Partial drawings and shipments** are allowed unless the credit prohibits them (art. 31).
- **Insurance** must be at least 110% of CIF/CIP value if not otherwise stated (art. 28).

Types of credit

Type	Feature	Use
Sight	Paid on complying presentation	Standard
Usance / deferred payment / acceptance	Paid at a future date (e.g., 90 days after B/L date)	Buyer credit; seller may discount
Confirmed	Second bank's undertaking	Issuing bank or country risk
Silent confirmation	Bank adds protection at the beneficiary's request without the issuing bank's authorisation (outside UCP's confirmation concept)	Seller wants protection when issuing bank won't request confirmation
Transferable (art. 38)	Beneficiary (often a middleman) transfers all or part to a second beneficiary	Trading intermediaries
Back-to-back	Second, separate L/C issued on the strength of the first	Traders (bank takes risk on mismatch)
Revolving	Reinstates automatically for repeated shipments	Regular supplies
Red clause / green clause	Allows advances to beneficiary before shipment	Commodity sourcing (rare today)
Standby (SBLC)	Payable on default; guarantee-like	Payment or performance security, often under ISP98

Step by step

1. Sales contract specifies payment by L/C with key terms.
2. Buyer applies to its bank; bank approves (credit line, margin deposit) and issues the credit (typically via SWIFT MT700).
3. Advising bank authenticates and advises the seller; confirming bank adds confirmation if requested.
4. Seller checks the credit **immediately** and requests amendments if terms cannot be met (amendments require consent of the issuing bank, confirming bank and beneficiary).
5. Seller ships and collects documents.
6. Seller presents documents to the nominated/confirming bank within the presentation period.
7. Bank examines (≤ 5 banking days). If compliant, it honours/negotiates and forwards documents to the issuing bank; if discrepant, it notifies refusal (or seeks the applicant's waiver).
8. Issuing bank examines, reimburses the nominated bank, and releases documents to the buyer against payment or under a financing arrangement (import loan/trust receipt).
9. Buyer uses documents to clear and collect the goods.

Costs (illustrative — vary widely by bank, country and risk)

Fee	Typical basis	Paid by (usually)
Issuance commission	0.1–0.5% per quarter of L/C amount	Applicant
Advising fee	Flat fee	Beneficiary
Confirmation fee	0.1–2%+ per quarter depending on issuing bank/country risk	Beneficiary (or applicant if agreed)
Negotiation / payment commission	% or flat	Beneficiary
Acceptance / deferred payment commission	% per annum for usance period	Per contract
Discrepancy fee	Flat per presentation (e.g., $50–150)	Beneficiary
Amendment fee	Flat	Party requesting
Courier and SWIFT charges	Flat	Each party
Discounting interest	Reference rate + margin for usance period	Beneficiary (or applicant under "usance payable at sight")

Standby letters of credit and demand guarantees

Standby L/Cs and **demand guarantees** are paid against a demand (and sometimes a statement of default), not against shipping documents. They are independent of the underlying contract.

- **URDG 758** (demand guarantees): a demand must be supported by a statement indicating in what respect the applicant is in breach (art. 15) unless excluded; the guarantor has **five business days** to examine (art. 20); provisions for expiry, reduction, extend-or-pay demands, force majeure, and counter-guarantees.
- **ISP98** governs many standbys (especially US-style); UCP 600 can also apply to standbys "to the extent applicable".

Guarantee	Protects	Typical amount	Typical duration
Bid bond (tender guarantee)	Employer, if bidder withdraws or refuses to sign	1–5% of bid	Bid validity
Performance guarantee	Buyer/employer against non-performance	5–10% (sometimes more)	Until completion/acceptance
Advance-payment guarantee	Buyer's advance	Equal to advance, reducing as work progresses	Until advance recovered
Retention guarantee	Replaces cash retentions	5–10%	Defects liability period
Warranty / maintenance guarantee	Defects after delivery	5–10%	Warranty period
Payment guarantee / SBLC	Seller against buyer non-payment	Credit exposure	Credit period
Customs guarantee	Customs authority for duties under suspension regimes	Duties at risk	Regime duration

COMMON MISTAKES · "On-demand" means on demand

Beneficiaries can call demand guarantees with a compliant demand even if the applicant disputes the breach. Courts in many jurisdictions intervene only in narrow cases (e.g., clear fraud). Exporters and contractors must treat performance guarantees as potentially lost cash, negotiate reasonable amounts and expiry dates, and avoid "extend or pay" traps.

بالعربية — طرق الدفع في التجارة الدولية

ترتّب طرق الدفع من الأكثر أماناً للبائع إلى الأكثر أماناً للمشتري: الدفع المقدم، ثم الاعتماد المستندي (خاصة المعزّز)، ثم التحصيل المستندي، ثم الحساب المفتوح. في الاعتماد المستندي يتعهد البنك بالدفع عند تقديم مستندات مطابقة لشروطه، والبنوك تتعامل بالمستندات لا بالبضائع، ولها خمسة أيام عمل مصرفية كحد أقصى لفحص المستندات. أما في التحصيل المستندي فالبنوك لا تتعهد بالدفع بل تسلّم المستندات مقابل الدفع أو القبول فقط. وخطابات الضمان عند الطلب تُدفع بمجرد تقديم مطالبة مطابقة، بصرف النظر عن النزاع في العقد الأصلي.

56.6 Choosing a payment method

Factor	Pushes toward more security (advance, confirmed L/C)	Pushes toward less (open account)
Buyer creditworthiness	Unknown, weak	Strong, rated, long history
Country risk	High, FX controls	Low
Amount	Large relative to seller's equity	Small
Goods	Customised, perishable, hard to resell	Standard, liquid
Competition	Seller's market	Buyer's market; competitors offer terms
Relationship	New	Long-standing
Financing need	Seller needs bank-acceptable security for finance	Seller has strong balance sheet or insurance

PRACTICE · Practice questions

1. Documents are presented on Monday 3 June (a banking day). The credit expires 30 June; B/L dated 20 May. Is the presentation timely? By when must the bank decide (assume no holidays and Saturday–Sunday weekends)?
2. Credit amount "about USD 500,000" for "about 1,000 MT of sugar". What maximum quantity and amount are allowed?
3. A buyer insists on D/A 120 days; the seller is unsure of the buyer's credit. Propose two ways to make this acceptable.
4. Compare a bank guarantee and a commercial L/C in terms of when the bank expects to pay.

ANSWER · Answers to the practice questions

1. 21 days after 20 May = 10 June; presentation on 3 June is within both the 21-day period and expiry — **timely**. Examination: up to five banking days following the day of presentation → Tue 4, Wed 5, Thu 6, Fri 7, Mon 10 June → decision **by 10 June**.
2. Up to **1,100 MT** and **USD 550,000** (±10% on both under art. 30(a)), subject to unit price consistency.
3. Credit insurance covering the buyer; an SBLC or avalised draft (bank guarantee of the acceptance); or forfaiting/discounting without recourse with a bank aval; or reduce exposure with partial advance payment.
4. A commercial L/C is expected to be paid in the normal course (it is the payment mechanism). A guarantee/standby is expected **not** to be paid — it is called only if the applicant defaults.

CHAPTER 57

Discrepancies, Disputes, Cargo Claims, Demurrage and Trade Risk Protection

LEARNING OBJECTIVES · In this chapter

What happens when things go wrong: documentary discrepancies, payment disputes, cargo loss and damage claims, demurrage and detention, and the protection offered by trade credit insurance and export credit agencies — plus trade-based financial crime.

57.1 Documentary discrepancies

Industry surveys have long found that a large share of first presentations under L/Cs are discrepant. Common discrepancies:

Discrepancy	Example	Prevention
Late shipment	B/L on-board date after latest shipment date	Realistic dates; amend early
Late presentation	More than 21 days after shipment or after expiry	Courier planning; present locally to the nominated bank
Description of goods	Invoice description differs from credit	Copy credit wording exactly in the invoice
Inconsistent data	Weights, marks, quantities differ across documents	Single source data; checklist
Missing documents	Inspection certificate not presented	Document checklist from the credit
Wrong consignee / endorsement	B/L “to order” not endorsed	Know the endorsement chain
Unclean B/L	Notation “packaging torn”	Proper packing; resolve before shipment
Insurance	Under-insured, wrong risks, dated after shipment	Insure correctly and early
Amount	Drawing exceeds credit or tolerance	Check arithmetic
Signatures / issuers	Certificate issued by wrong party	Use specified issuers
Port names	Different from credit	Exact names

What happens next: the bank issues a refusal notice listing discrepancies and states whether it holds documents pending the applicant’s waiver, holds until further instructions, returns them, or acts on prior instructions (UCP 600 art. 16). In practice, most discrepant presentations are eventually paid after the applicant waives — **if** the buyer still wants the goods at that price. In a falling market, buyers use discrepancies to renegotiate or reject. A discrepancy converts a bank undertaking into, effectively, a collection.

PROFESSIONAL INSIGHT · The seller’s defence: check the credit on day one

Read the L/C as soon as it is advised and verify that every requirement can be met by whom and when. Request amendments before shipment — after shipment, the seller has lost leverage. Many traders use a document-checking checklist and a pre-check by their bank before presentation.

57.2 Payment disputes and remedies

Situation	Typical remedies
Buyer refuses to pay under open account	Negotiation, demand letter, credit-insurance claim (after waiting period), collection agency, arbitration/litigation under contract
Bank refuses L/C documents	Check if refusal valid under UCP/ISBP; challenge the refusal; ICC DOCDEX expert decision; litigation
Unfair guarantee call	Negotiate; seek injunction only in exceptional cases (e.g., fraud) per governing law
Quality dispute	Joint survey, independent inspection, contract claims procedure, arbitration
Fraud (fake documents, phantom shipments)	Criminal complaint, bank notification, fraud exception in L/C law

57.3 Cargo claims

Loss or damage may be claimed against the **carrier** (within liability regimes and limits) and/or the **cargo insurer** (which then pursues the carrier by subrogation).

Regime	Mode	Carrier liability limit (summary)	Time bar (summary)
Hague-Visby Rules	Sea	Higher of 666.67 SDR per package/unit or 2 SDR per kg gross	1 year from delivery
Hamburg Rules	Sea (fewer countries)	Higher of 835 SDR per package or 2.5 SDR per kg	2 years
Montreal Convention 1999	Air	Per-kg limit in SDR, periodically revised (raised to 26 SDR/kg from December 2024 — verify)	2 years; written complaint within 14 days for damage
CMR	International road	8.33 SDR per kg	1 year (3 for wilful misconduct)

SDR = Special Drawing Right, the IMF's reserve unit. Carriers also have defences (e.g., under Hague-Visby: perils of the sea, insufficient packing, inherent vice, nautical fault).

Claims procedure: notify carrier in writing promptly (note damage on delivery receipt; for non-apparent damage, within the regime's period, e.g., 3 days under Hague-Visby); arrange a joint survey; preserve evidence (photos, seals, temperature logs); notify insurer immediately; mitigate further loss; submit claim with invoice, B/L, packing list, survey report, insurance certificate, correspondence.

General average: a maritime principle under which all parties to a sea venture share proportionally in extraordinary sacrifices or expenses made to save the voyage (e.g., jettison, salvage). Cargo owners must post security (often a general average guarantee from their insurer) before cargo is released — another reason to insure.

57.4 Demurrage and detention

WORKED EXAMPLE · Container D&D after a document delay (fictional rates)

Two 40ft containers arrive at destination. Free time: 5 days demurrage, 5 days detention (separate clocks, combined free time arrangements vary). Original B/Ls arrive 9 days late because the seller sent them by ordinary mail; customs inspection takes 3 more days; containers are collected on day 14 and returned empty on day 20.

Charge	Days chargeable	Rate	Amount
Demurrage (in terminal)	14 − 5 = 9 days	$90 for days 6–10, $150 thereafter per container	(5 × 90 + 4 × 150) × 2 = **$2,100**

Charge	Days chargeable	Rate	Amount
Detention (outside terminal)	6 days out, 5 free → 1 day	$60/day per container	**$120**
Port storage (terminal)	per terminal tariff		**$640**
Total			**$2,860**

On goods worth $48,000 with a 12% gross margin ($5,760), this delay costs half the profit. Who pays depends on the sales contract and Incoterms — under CFR the buyer bears destination costs, but may claim against the seller if the delay was caused by the seller's late documents.

57.5 Trade credit insurance

Covers a seller (or its financing bank) against non-payment by buyers due to **commercial risks** (insolvency, protracted default) and often **political risks** (transfer restrictions, war, cancellation of licences). Features: credit limits approved per buyer, indemnity typically 85–95% of the loss, waiting period before claim (e.g., 3–6 months after due date), obligations to report overdue accounts, premium as % of turnover or insured receivables. Major private insurers include Allianz Trade, Atradius and Coface; many countries also have state or quasi-state insurers.

Benefits beyond loss protection: better financing terms (banks lend more against insured receivables), credit information on buyers, and discipline in credit management.

57.6 Export credit agencies (ECAs)

ECAs are government or government-mandated institutions supporting exports through insurance, guarantees and sometimes direct lending, especially for capital goods and projects with medium/long tenors. Examples include UK Export Finance, the Export-Import Bank of the United States, Euler Hermes acting for the German government, Sinosure (China), Etihad Credit Insurance (UAE), Saudi EXIM Bank and the multilateral ICIEC (Islamic Development Bank group). For OECD members, terms of officially supported export credits (minimum premiums, maximum tenors, down payments — typically at least 15%) follow the **OECD Arrangement on Officially Supported Export Credits**.

ECA product	How it works
Buyer credit	Bank lends to the foreign buyer to pay the exporter; ECA guarantees the bank (often 95–100%)
Supplier credit insurance	Exporter grants credit; ECA insures the receivable
Pre-shipment / working-capital guarantees	ECA guarantees bank loans to exporters
Bond support	ECA shares risk on performance/APG guarantees issued by banks
Investment insurance	Political risk cover for foreign investments

57.7 Trade-based financial crime

Trade finance is exposed to fraud and money laundering because documents are complex and banks see only paper. Typologies: fictitious shipments, over/under-invoicing, multiple financing of the same goods by different banks, fake warehouse receipts, collusion between buyer and seller, misuse of free zones, dual-use goods diversion, and sanctions evasion through ship-to-ship transfers or falsified origin. Controls: KYC on all parties, pricing checks against market data, vessel tracking and B/L verification, collateral management with reputable firms, independent inspection, limits on related-party trades, and attention to the red flags described in Chapter 51.

PRACTICE · Practice questions

1. A credit requires shipment “not later than 15 May”; the B/L is dated 17 May. The buyer’s market price has fallen 10%. What is likely to happen, and what could the seller have done?
2. A carton of electronics worth $9,000, weighing 40 kg, is lost at sea. Under Hague-Visby, what is the carrier’s maximum liability (assume 1 SDR = $1.33)?
3. A credit insurer approved a $500,000 limit on a buyer; indemnity 90%; buyer defaults owing $620,000. How much does the seller recover from the insurer?

ANSWER · Answers to the practice questions

1. The late shipment is a discrepancy; the issuing bank will refuse unless the applicant waives. With prices down, the buyer may refuse or demand a price reduction. The seller should have requested an amendment extending the shipment (and expiry) date before shipping.
2. Package limit: 666.67 SDR ≈ $887; weight limit: 2 × 40 = 80 SDR ≈ $106 → higher = **≈ $887**, far below the $9,000 value — hence the need for cargo insurance (or declaring value on the B/L, which raises the limit and the freight).
3. Insured amount limited to the approved limit: 90% × $500,000 = **$450,000** (the excess $120,000 is uninsured).

CHAPTER 58

Complete Trade Transaction Simulations

LEARNING OBJECTIVES · In this chapter

Three end-to-end training simulations at different scales, each with participants, documents, timeline, calculations, decision points, risks and lessons. **All companies, banks, prices, rates and documents are fictional training assumptions**, chosen to be realistic in structure; actual tariffs, taxes, freight rates and fees must be verified for real transactions.

58.1 Simulation 1 — A $5,000 first order from China to Lebanon

Background

Cedar Kitchenware (fictional), a small Beirut retailer, wants to test a new product line: 500 sets of stainless-steel kitchen utensils from Guangzhou Hongda Housewares (fictional), found through an online B2B platform. Price: **$10.00 per set, FCA supplier's warehouse Guangzhou, Incoterms® 2020 → $5,000**. The supplier asks for **100% payment before shipment** by bank transfer.

Participants

Buyer; supplier; buyer's bank in Beirut; supplier's bank in China (and a USD correspondent); buyer's freight forwarder (with an agent in Guangzhou); cargo insurer; Lebanese customs and a customs broker; local trucker.

Decision point 1: is the supplier real?

Check	Method	Result (simulated)
Business licence	Request copy; verify unified social credit code on official registry or via a verification service	Matches name and address
Bank account name	Must match the company name exactly	Matches
Video call / factory tour	Live walk-through of warehouse and production	Done
Samples	3 sample sets by courier ($65)	Quality acceptable
Platform payment protection	Pay through the platform's escrow/assurance service if available	Supplier accepts at 2% extra cost — buyer declines, pays by T/T after checks
Pre-shipment inspection	Third-party inspection ~$250–350	Not justified at $5,000 (5–7% of value); buyer requests photos/video of packed goods instead

COMMON MISTAKES · Payment-fraud control

Before sending money, confirm the beneficiary's bank details by a call to a known number (not one in the email). Business email compromise — fake emails announcing "new bank details" — is one of the most common frauds in small import transactions.

Decision point 2: air or sea?

Shipment: 25 cartons, each 60 × 40 × 40 cm, 16 kg → gross 400 kg; volume 2.4 m^3.

	Air freight	Sea LCL
Chargeable basis	Volumetric per carton 96,000 ÷ 6,000 = 16 kg = actual → 400 kg	W/M = max(0.4 t, 2.4 m^3) = 2.4
Origin charges (pickup, terminal, documents)	$120	$150
Main freight	400 kg × $4.20 = $1,680	2.4 × $55 = $132
Destination charges (terminal/CFS, delivery order)	$120	$220
Transit time door to door	~7 days	~40 days (with transhipment)

Landed cost calculation (assumptions: duty 10% and VAT 11% on CIF-based value; insurance 0.25%, minimum $35; broker $150; local delivery $60; bank charges $65 with OUR)

Item	Sea LCL ($)	Air ($)
Goods (FCA)	5,000.00	5,000.00
Origin charges + main freight	282.00	1,800.00
Insurance	35.00	35.00
Customs value (CIF basis)	**5,317.00**	**6,835.00**
Customs duty 10%	531.70	683.50
Destination charges	220.00	120.00
Customs broker	150.00	150.00
Local delivery	60.00	60.00
Bank transfer charges	65.00	65.00
Landed cost excluding VAT	**6,343.70**	**7,913.50**
Per set	**12.69**	**15.83**
Import VAT 11% on (CIF + duty), cash outflow	643.36	827.04

Landed cost is **27% above the supplier price** by sea and **58%** by air. At a target 40% gross margin, the selling price must be $21.15 per set (sea) — or $26.38 (air). The buyer chooses **sea**, accepting the 40-day transit for a trial order.

Timeline

Day	Event	Document
0	Pro forma invoice received; checks completed	Pro forma invoice
2	T/T payment $5,000 (OUR)	Bank transfer confirmation (MT103 / pacs.008 reference)
3	Supplier confirms receipt; production/packing	Order confirmation
12	Forwarder's agent collects goods (FCA delivery — risk passes)	Forwarder's cargo receipt; commercial invoice; packing list
15	Export declaration filed by supplier; goods at CFS	Export declaration
18	Vessel departs; house B/L issued to buyer as consignee	House bill of lading
58	Arrival Beirut; forwarder issues arrival notice	Arrival notice
60	Customs declaration, duty and VAT paid, release	Import declaration, receipts, certificate of origin if required

Day	Event	Document
61	Delivery to shop	Delivery note

Risks, controls and lessons

Risk	Control
Supplier non-delivery after prepayment	Verification, samples, small first order, platform escrow for higher amounts
Quality differs from samples	Photos/video before shipment; specifications in PO; for larger orders, pre-shipment inspection
Underestimating landed cost	Full landed-cost calculation before pricing
Customs classification/duty error	Ask broker to confirm HS code and duty before ordering
Damage in transit	Insurance (ICC A) — cheap relative to value

Lesson: at small scale, the main risks are counterparty fraud and hidden costs; bank instruments such as L/Cs are uneconomic (minimum fees would exceed 5% of value).

58.2 Simulation 2 — A $480,000 import under a usance letter of credit (UAE)

Background

Gulf Cool Appliances FZE (fictional, Dubai) distributes air-conditioners to retailers in the UAE and Oman. It agrees to buy **1,600 split air-conditioner units (18,000 BTU inverter, model SB-18INV)** from Siam Breeze Manufacturing (fictional, Thailand) at **$300 per unit CFR Jebel Ali, Incoterms® 2020 = $480,000**, payment by **irrevocable letter of credit available by acceptance, drafts at 90 days after B/L date**. The buyer will insure the cargo itself (ICC A). Shipment: 8 × 40ft high-cube containers.

Participants

Applicant: Gulf Cool. Issuing bank: Training Bank Dubai (fictional). Beneficiary: Siam Breeze. Advising and nominated bank: Training Bank Bangkok (fictional) — no confirmation requested (seller is comfortable with the UAE issuing bank). Carrier: a container line. Inspection: none required by the credit (buyer relies on supplier warranty). Insurer: buyer's marine open-cover policy. Customs broker and haulier in Dubai.

The credit (training summary of key fields)

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Documentary Credit — key terms (training simulation)

Field	Content
Form of credit	Irrevocable
Applicable rules	UCP latest version (UCP 600)
Date and place of expiry	30 September, Bangkok
Applicant	Gulf Cool Appliances FZE, Jebel Ali Free Zone, Dubai, UAE
Beneficiary	Siam Breeze Manufacturing Co., Ltd., Chonburi, Thailand
Amount	USD 480,000.00
Percentage tolerance	5/5 (±5%)

Field	Content
Available with / by	Training Bank Bangkok by acceptance
Drafts at	90 days after B/L date, drawn on the issuing bank
Partial shipments	Not allowed · Transhipment: Allowed
Port of loading / discharge	Laem Chabang, Thailand / Jebel Ali, UAE
Latest date of shipment	15 September
Description of goods	1,600 units split air-conditioners 18,000 BTU inverter, model SB-18INV, CFR Jebel Ali Incoterms® 2020
Documents required	Signed commercial invoice in 3 originals; full set of clean on-board ocean B/Ls made out to order of Training Bank Dubai, notify applicant, marked freight prepaid; packing list; certificate of origin issued by a chamber of commerce; manufacturer's warranty certificate
Additional conditions	Documents must show L/C number; insurance covered by applicant; third-party documents acceptable except invoice and draft
Charges	All charges outside UAE for beneficiary's account
Period for presentation	21 days after date of shipment but within the validity of the credit
Confirmation instructions	Without

Fictional training document — not a valid instrument.

Decision point: should the seller accept these terms?

The seller's export manager reviews the credit on receipt:

- Latest shipment 15 September vs production completion 5 September — tight but feasible; requests extension to 25 September and expiry to 15 October as buffer → **amendment requested and agreed** (amendment fee $80 for the applicant).
- "Partial shipments not allowed" — all 8 containers must be on one B/L date; the booking must secure all 8 on one vessel.
- Warranty certificate issued by the manufacturer — the seller is the manufacturer, so acceptable.
- Usance 90 days: the seller wants cash at sight → will **discount the accepted draft** with the nominated bank.

Timeline

Day	Event
0	Contract signed
5	Buyer applies; issuing bank approves under its L/C line (10% cash margin) and issues via SWIFT
6	Advising bank authenticates; seller reviews credit
9	Amendment requested; issued day 12
45	Production complete; containers stuffed; VGM declared
49	Containers loaded; on-board B/L dated day 49
53	Seller presents documents at Training Bank Bangkok
55	Nominated bank finds a **discrepancy**: packing-list gross weight 52,480 kg vs B/L 52,840 kg

Day	Event
56	Seller corrects the packing list (typo) and re-presents within the 21-day period — compliant
58	Nominated bank accepts the draft (on behalf of the issuing bank) and sends documents; maturity = B/L date + 90 = day 139
59	Seller discounts the accepted draft: receives proceeds
63	Issuing bank receives documents, finds them compliant, releases to applicant against acceptance
70	Vessel arrives Jebel Ali; buyer obtains delivery order with endorsed B/L; customs clearance; containers delivered by day 73
139	Issuing bank debits buyer and pays at maturity

PROFESSIONAL INSIGHT · What saved the deal

The discrepancy was caught on day 55 with time remaining in the presentation period, so the seller could correct it. Had it been found after the expiry or after 21 days, the seller would have depended on the buyer's waiver — at a time when the buyer's market might have weakened.

Buyer's calculation

Item	USD
Goods CFR Jebel Ali	480,000.00
Marine insurance ICC (A): 0.12% × 110% × 480,000	633.60
CIF value	**480,633.60**
Customs duty 5% of CIF (assumed for goods released into the UAE)	24,031.68
Import VAT 5% on (CIF + duty), recoverable	(25,233.26 cash, recovered later)
Port, delivery order, terminal and clearance charges (8 containers)	2,800.00
Haulage to warehouse 8 × $250	2,000.00
L/C issuance commission 0.25% per quarter × 2 quarters	2,400.00
Acceptance commission 1.5% p.a. × 90/360	1,800.00
Amendment and SWIFT/courier	230.00
Landed cost excluding VAT	**513,895.28**
Per unit	**321.18**

Sales plan: retailers pay $385 per unit, 30 days after delivery; all units sold over ~60 days.

Item	USD
Revenue 1,600 × 385	616,000.00
Landed cost	(513,895.28)
Gross profit (16.6%)	**102,104.72**
Sales commission 1.5%	(9,240.00)
Warranty provision 1%	(6,160.00)
Financing: average 30-day gap between L/C maturity and collections on ~$480,000 at 7.5%	(3,000.00)
Contribution after direct costs (13.6%)	**83,704.72**

The 90-day usance L/C is the key financing: it covers transit (21 days), clearance, and most of the selling and collection period. Without it, the buyer would need ~$480,000 of working capital for roughly 4 months.

Seller's calculation

Item	USD
Revenue	480,000.00
Production cost 1,600 × $258	(412,800.00)
Ocean freight 8 × $1,450	(11,600.00)
Origin charges 8 × $180 + export documents $300	(1,740.00)
Advising fee + discrepancy fee	(200.00)
Acceptance/negotiation commission 0.125%	(600.00)
Discount of accepted draft: 480,000 × 6.5% × 81/360 (days 58 → 139)	(7,020.00)
Margin before overheads (9.6%)	**46,040.00**

Risks and controls

Party	Risk	Control
Seller	Discrepancies → loss of bank undertaking	Credit review on receipt; checklist; pre-check
Seller	Issuing bank / UAE country risk	Low here; confirmation available if needed
Seller	Discount rate rises	Negotiate "usance payable at sight" (buyer bears discount) or fix discount at acceptance
Buyer	Paying for wrong/defective goods (banks check documents only)	Inspection certificate requirement; supplier reputation; warranty
Buyer	Price drop in AC market before goods sold	Pre-sell to retailers; limit order size
Buyer	D&D charges	Clear quickly; free-time negotiation
Issuing bank	Buyer cannot pay at maturity	Credit line approval, 10% margin, title to goods via B/L to its order, trust receipt

58.3 Simulation 3 — A $25 million export contract with ECA-backed financing

Background

Anatolia Pipe Works A.Ş. (fictional, Turkey) wins an international tender to supply **ductile iron pipes and fittings** for a water-supply project of the Water Development Authority of the Republic of Kairos (a fictional country with moderate-to-high country risk). Contract price **USD 25,000,000, CIF Port of Kairos, Incoterms® 2020**, four shipments over 12 months. The buyer cannot pay cash: the deal works only with **export-credit-agency (ECA) backed buyer credit**.

Structure

Element	Terms (training assumptions)
Advance payment	15% ($3.75m) within 30 days of contract effectiveness, against an **advance-payment guarantee** (APG) from the exporter's bank, reducing pro rata with shipments
Balance	85% ($21.25m) paid to the exporter by the lending bank from an **ECA-covered buyer credit loan** to the buyer's Ministry of Finance, disbursed against shipping documents
Performance guarantee	10% ($2.5m), valid until 2 months after final delivery, then replaced by a 5% warranty guarantee for 24 months
Liquidated damages	0.5% of the delayed shipment value per week, capped at 10% of contract value

Element	Terms (training assumptions)
Inspection	Third-party inspection at the plant by the buyer's engineer before each shipment; inspection certificate required for disbursement
Governing law / disputes	English law; arbitration (ICC Rules), seat London
Loan terms (buyer side)	10-year repayment in semi-annual instalments starting 6 months after the final shipment; interest at a fixed rate or floating reference + margin; ECA premium financed
Effectiveness conditions	Signing of loan agreement; ECA policy issued; receipt of advance payment; APG issued

Participants

Exporter; buyer (Water Authority) and borrower (Ministry of Finance); the exporter's national ECA (fictional "ExportCover"); lending bank (fictional "Bosphorus Training Bank") as lender and agent; exporter's guarantee-issuing bank; buyer's legal counsel; inspection company; carrier(s) and cargo insurer; customs; the buyer's engineer.

Exporter's project economics

Cost element	USD m	% of contract
Raw materials (pig iron, scrap, alloys) — priced in USD/EUR	12.00	48.0%
Energy and labour (TRY)	4.50	18.0%
Coatings, linings, packaging	1.50	6.0%
Sea freight and insurance (CIF)	1.75	7.0%
Allocated plant overheads	1.50	6.0%
Total cost	**21.25**	**85.0%**
Gross margin	**3.75**	**15.0%**

Transaction costs:

Item	Calculation	USD
APG fee	Outstanding amount × time ≈ 30 USD m-months = 2.5 USD m-years × 1.2% p.a.	30,000
Performance guarantee fee	2.5m × 1.0% p.a. × 14/12	29,167
Warranty guarantee fee	1.25m × 0.8% p.a. × 2 years	20,000
Pre-shipment working-capital finance	Average $8m for 6 months at 8%	320,000
Legal, ECA processing, inspection co-ordination	Estimate	60,000
Total		**459,167**

Net margin before risks ≈ 3.75m − 0.46m = **$3.29m (13.2%)**.

Risk sensitivity

Risk event	Impact on margin
One shipment ($6.25m) 4 weeks late	LDs 0.5% × 4 × 6.25m = **–$125,000**
EUR strengthens 8% on EUR-priced inputs of $4.0m (unhedged)	**–$320,000**
Pig-iron prices +10% on un-fixed half of materials ($6.0m)	**–$600,000**

Risk event	Impact on margin
Performance guarantee called unfairly	Up to **–$2.5m** (cash), recoverable only through arbitration
Buyer delays inspection, stopping disbursements	Working-capital cost; e.g., 2-month delay on $6.25m at 8% ≈ **–$83,000**

Actions taken: fixed-price purchase contracts for 70% of pig iron at contract signing; EUR forward purchases for the coating materials; production schedule with 3 weeks of buffer; guarantee wording negotiated under URDG 758 with a requirement for a statement of breach and fixed expiry dates (no "extend or pay"); disbursement mechanism allowing payment against inspection certificate **or** an engineer's waiver if inspection is not performed within 10 days of notice.

Buyer's perspective

Item	Amount
Advance from budget	$3.75m
ECA-backed loan	$21.25m
ECA premium (illustrative 5% of loan, financed)	~$1.06m
Interest (illustrative fixed 6.5% over a 10-year amortising profile)	~$7.6m over the life
Benefit	Infrastructure delivered now; long-tenor financing unavailable from domestic banks

Document chain per shipment (for disbursement)

Commercial invoice; packing list; full set of B/Ls (or as specified in the loan agreement); certificate of origin (ECAs often require minimum national content); inspection certificate; insurance certificate; disbursement request signed by the borrower or an irrevocable authorisation; exporter's certificate of shipment. The lending bank checks these like an L/C presentation — so discrepancy discipline matters here too.

Failure scenarios and controls

Scenario	Control
Loan agreement signing delayed → contract never becomes effective while the exporter has started production	Do not start large purchases before effectiveness (or only with limited, cancellable commitments)
Country downgrade or sanctions on the buyer country	ECA cover for the bank; exporter's own political-risk insurance on advance-period exposure
Corruption risk in public tender	Anti-bribery due diligence on agents; transparent commission agreements; compliance with home-country and international anti-bribery laws; ECAs require anti-bribery declarations
Quality claim after installation	Warranty guarantee capped at 5%; clear specifications and acceptance tests
Currency convertibility on local-currency costs (installation supervision)	Price supervision services in USD; keep local spending minimal

Lessons across the three simulations

Lesson	Small ($5k)	Medium ($480k)	Large ($25m)
Main risk	Counterparty fraud, hidden costs	Documentary compliance, market price	Contract performance, guarantees, country risk, financing
Main tool	Verification and landed-cost calculation	L/C with usance financing	ECA buyer credit, guarantees, hedging

Lesson	Small ($5k)	Medium ($480k)	Large ($25m)
Cost of security	Low	~1.5–2% of value	~2% + financing
Critical skill	Due diligence	Document discipline	Structuring and negotiation

PRACTICE · Practice questions

1. In Simulation 1, what would the landed cost per set be if the duty rate were 20% instead of 10% (sea)?
2. In Simulation 2, the buyer negotiates "usance payable at sight" (the seller is paid at sight; the buyer bears discount interest). Recompute both parties' margins approximately.
3. In Simulation 3, the exporter wants to reduce the risk of an unfair call on the $2.5m performance guarantee. List three contractual or instrument protections.
4. Build a one-page risk matrix (risk, probability, impact, control, owner) for Simulation 2 from the seller's point of view.

ANSWER · Answers to the practice questions

1. Duty 20% × 5,317 = 1,063.40 → landed = 6,343.70 + 531.70 = 6,875.40 → **$13.75 per set**.
2. Seller no longer bears $7,020 of discount → margin ≈ **$53,060 (11.1%)**. Buyer bears it → contribution ≈ 83,704.72 − 7,020 = **$76,685 (12.4%)** — a negotiation over who funds the credit period.
3. Demand must be accompanied by a statement of breach (URDG 758 art. 15) and possibly by a certificate from the engineer; fixed expiry date and automatic reduction on delivery milestones; no "extend or pay" clause; counter-guarantee terms aligned; arbitration clause and, where available, injunction relief for manifest fraud; political-risk/unfair-calling insurance (available in some markets, including some ECA bond covers).
4. Example rows: (a) Discrepant documents — medium probability, high impact — checklist, bank pre-check — export documentation manager; (b) Late production — low, high — buffer, amendment request early — production manager; (c) Freight rate increase before shipment (CFR) — medium, medium — fixed booking contract — logistics; (d) Discount rate rise — medium, low — fix discount at acceptance — treasury; (e) Buyer insolvency before acceptance — low, high — issuing-bank undertaking covers; (f) Sanctions/AML hold on payment — low, medium — screening, complete documentation — compliance.

SUMMARY · Part VII summary

- A trade transaction synchronises flows of goods, documents, money and information among many parties.
- Incoterms® 2020 allocate delivery, risk and costs — not title or payment; choose rules that fit the transport mode.
- Documents must be accurate and mutually consistent; banks pay on documents, not goods.
- Customs outcomes depend on classification, valuation and origin; landed cost must include duties, taxes and charges.
- Payment methods trade off risk and cost; UCP 600, URC 522 and URDG 758 define how bank instruments work.
- Most problems — discrepancies, D&D, unfair calls, cargo claims — are preventable through contract design and document discipline.

- Scale changes the risk profile: fraud and hidden costs dominate small deals; structuring, guarantees and country risk dominate large ones.

PART XVIII

Financial Markets, FX and Treasury

الأسواق المالية والصرف الأجنبي والخزينة

Treasury is the function that makes sure a company always has the cash it needs, in the right currency, at the right place and time, at the lowest reasonable cost and risk. In international businesses, treasury also manages currency and interest-rate exposures. This part explains the foreign-exchange market from a corporate user's point of view, the tools and policies of corporate treasury, and — with detailed numerical cases — how importers and exporters manage currency risk.

LEARNING OBJECTIVES · Learning objectives for Part XVIII

- Read FX quotes, compute conversions, spreads, cross rates and forward rates.
- Explain spot, forward, NDF, FX swap, cross-currency swap and option instruments and their uses.
- Describe the functions and tools of corporate treasury: liquidity forecasting, cash pooling, netting, funding, bank relationship and fee management.
- Manage interest-rate exposure with swaps and caps.
- Identify transaction, translation and economic FX exposures and design a hedging policy.
- Distinguish corporate treasury from speculative trading and from investment management.

Chapters in this part

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CHAPTER 59

Foreign Exchange Markets: Quotes, Spot, Forwards and Swaps

LEARNING OBJECTIVES · In this chapter

How the FX market is organised, how currencies are quoted, and the instruments corporates use.

59.1 Market structure

The FX market is the world's largest financial market, traded mostly over the counter (OTC) between banks, corporates, asset managers, central banks and electronic platforms. The BIS Triennial Survey measured average daily turnover of about **$7.5 trillion in April 2022**; a new survey round took place in April 2025 — consult the BIS for the latest figures. The US dollar is on one side of the large majority of trades; major centres include London, New York, Singapore and Hong Kong. Corporates usually deal with their relationship banks by phone, bank portals or multi-bank platforms.

59.2 Quotation conventions

Concept	Meaning	Example
Currency pair BASE/QUOTE	Price of 1 unit of BASE in QUOTE	EUR/USD 1.0850 → €1 = $1.0850
Bid / ask (offer)	Price at which the dealer buys / sells the base currency	1.0848 / 1.0852
Spread	Ask − bid; the dealer's margin and liquidity indicator	4 pips
Pip	Usually the 4th decimal (2nd for JPY pairs)	0.0001
Direct quote (from a country's view)	Foreign currency in units of domestic currency	In the UAE: USD 1 = AED 3.6725
Indirect quote	Domestic currency in units of foreign	
Cross rate	Rate between two non-USD currencies via USD	EUR/AED = EUR/USD × USD/AED
Mid-rate	Average of bid and ask	Used in accounting and benchmarks

COMMON MISTAKES · Read the pair, not just the number

"Rate 3.75" means nothing without the pair. USD/SAR 3.75 = 1 dollar costs 3.75 riyals; SAR/USD = 0.2667. Many costly errors come from multiplying instead of dividing. Always write the conversion with units: SAR 1,000,000 ÷ 3.75 SAR/USD = USD 266,667.

59.3 Spot

A spot transaction exchanges currencies for settlement normally **two business days** after the trade date (T+2) for most pairs — T+1 for some pairs such as USD/CAD. Settlement risk (paying one currency without receiving the other) is mitigated by systems such as **CLS** for eligible currencies.

59.4 Forwards

An **outright forward** fixes today the rate for an exchange at a future date. The forward rate reflects the **interest-rate differential** (covered interest parity), not a forecast.

FORMULA · Forward rate

F = S × (1 + i_quote × d/basis) ÷ (1 + i_base × d/basis)
The currency with the higher interest rate trades at a forward discount.

WORKED EXAMPLE · Forward for an importer

EUR/USD spot 1.0850; 90-day USD rate 4.40%; EUR rate 2.40% (act/360). Forward = 1.0850 × 1.011 ÷ 1.006 = **1.0904**. An importer buying EUR forward pays 1.0904 rather than 1.0850 — not a "cost" in the sense of a fee, but the interest differential: if it bought EUR today and deposited them, it would earn 2.40% instead of 4.40% on its USD.

Non-deliverable forwards (NDFs) are cash-settled forwards used for currencies with convertibility restrictions; the difference between the contracted rate and a fixing rate is paid in a convertible currency (usually USD). **Window (flexible) forwards** allow drawdown at any date within a window — useful when payment timing is uncertain, at a slightly worse rate.

59.5 FX swaps and cross-currency swaps

- **FX swap:** a spot (or near-date) exchange combined with a reverse forward exchange. Used to move liquidity between currencies temporarily or to roll a hedge. Example: a company holding surplus USD but needing EUR for one month sells USD/buys EUR spot and buys USD/sells EUR one month forward.
- **Cross-currency (interest-rate) swap:** exchange of principal and interest flows in two currencies over years, e.g., converting a USD bond into synthetic EUR debt to match EUR assets.

59.6 Options

An **FX option** gives the right, not the obligation, to exchange at a strike rate on (or by) an expiry date, for a premium paid upfront.

Option	Right	Typical user
Call on currency X	Buy X at strike	Importer paying in X
Put on currency X	Sell X at strike	Exporter receiving X
Collar (buy one option, sell another)	Range of outcomes, often zero premium	Corporates wanting protection with some participation
Participating forward / structured products	Combinations	Use with caution — complexity and leverage

COMMON MISTAKES · Structured FX products

Some banks offer complex products (knock-outs, target redemption forwards, leveraged forwards) with zero upfront premium. They often contain sold options that create large losses when markets move sharply — many companies suffered heavy losses on such products. A corporate hedging policy should list permitted instruments and prohibit leveraged or speculative structures.

PRACTICE · Practice questions

1. USD/JPY bid 151.20, ask 151.25. A Japanese supplier must be paid JPY 30,000,000. How many USD does the importer need?
2. EUR/USD 1.0820, GBP/USD 1.2650. Compute EUR/GBP.
3. GBP/USD spot 1.2650; 180-day USD rate 4.3% (act/360), GBP rate 4.6% (act/365). Compute the forward.

ANSWER · Answers to the practice questions

1. The bank sells JPY = buys USD at the bid: USD = 30,000,000 ÷ 151.20 = **$198,413**. (Bank buys base USD at bid; the importer sells USD, so it gets 151.20 JPY per USD.)
2. EUR/GBP = EUR/USD ÷ GBP/USD = 1.0820 ÷ 1.2650 = **0.8553**.
3. F = 1.2650 × (1 + 0.043 × 180/360) ÷ (1 + 0.046 × 180/365) = 1.2650 × 1.0215 ÷ 1.022685 = **1.2635** (GBP at a slight forward discount).

CHAPTER 60

Corporate Treasury Management

LEARNING OBJECTIVES · In this chapter

What treasury does, liquidity forecasting, cash concentration and pooling, netting, funding and interest-rate risk management, bank relationship and fee management, treasury policy, and the difference between treasury, speculation and investment management.

60.1 Treasury functions

Function	Activities	Key outputs
Cash and liquidity management	Daily positioning, forecasting, pooling, investing surplus cash	Cash position, 13-week and 12-month forecasts
Funding	Bank facilities, bonds, leasing, intra-group loans	Funding plan, maturity profile
Financial risk management	FX, interest rate, commodity, counterparty risk	Hedging programme, exposure reports
Bank relationship management	Bank selection, wallet allocation, KYC, fee review	Bank scorecard
Payments and operations	Payment factory, bank connectivity, controls	Secure, efficient payments
Corporate finance support	M&A funding, dividends, capital structure	Analysis for CFO/board
Guarantees and trade finance	L/C and guarantee issuance, limits	Instrument register

60.2 Liquidity forecasting

Horizon	Method	Use
Daily / weekly (0–13 weeks)	Direct (receipts and payments)	Liquidity, short-term investment and borrowing
Monthly (to 12–18 months)	Indirect from budget/forecast + working-capital drivers	Facility sizing, covenant forecasts
Long term	Strategic plan	Refinancing, capital structure

Forecast accuracy is measured by comparing forecast vs actual by category; persistent bias (e.g., receipts always over-estimated) is corrected at source with sales and credit teams.

60.3 Cash concentration, pooling and netting

Physical cash pooling (zero-balancing): balances of subsidiary accounts are swept daily into a header account; deficits funded from it. Creates real intercompany loans (with tax and legal implications such as transfer pricing and thin-capitalisation rules).

Notional pooling: balances remain in separate accounts but the bank calculates interest on the net position. Availability is restricted in some jurisdictions and affected by bank capital rules.

Multilateral netting: intercompany payables and receivables are offset, so each subsidiary pays or receives one net amount per period.

WORKED EXAMPLE · Netting four subsidiaries (USD m, monthly intercompany invoices)

Payer → payee	Amount
A → B	4.0
B → C	3.0
C → A	2.5
D → A	1.0
B → D	1.5
C → D	0.5
Gross transfers: 6 payments, $12.5m. Net positions: A: receives 2.5 + 1.0 − pays 4.0 = **−0.5**; B: +4.0 − 3.0 − 1.5 = **−0.5**; C: +3.0 − 2.5 − 0.5 = **0.0**; D: +1.5 + 0.5 − 1.0 = **+1.0**. After netting: A and B each pay $0.5m to the netting centre, which pays D $1.0m — **3 payments, $2.0m**. FX conversions and bank fees fall accordingly.	

In-house bank: a central treasury entity that holds subsidiaries' cash, lends to them, executes FX for them and makes external payments on their behalf ("payments on behalf of").

60.4 Funding and interest-rate risk

Treasury maintains a funding plan: sources (bank facilities, bonds, leases, supplier finance), maturity profile (avoid concentrations), covenant headroom, and liquidity buffer (cash + undrawn committed facilities, often targeted at a multiple of monthly outflows).

WORKED EXAMPLE · Hedging floating-rate debt with a swap

A company has a $30m 5-year term loan at 3M reference rate + 2.00%. It enters a 5-year **pay-fixed interest-rate swap** at 3.90%: it pays 3.90% fixed and receives the 3M reference rate on $30m.

- Net cost = (reference + 2.00%) − reference + 3.90% = **5.90% fixed**, regardless of rate moves.
- If the reference rate rises to 5.5%, unhedged cost would be 7.5%; savings ≈ 1.6% × $30m = $480,000 a year.
- If rates fall to 2.5%, the company still pays 5.90% (vs 4.5% unhedged) — the swap has negative value, and early termination would cost money. Alternatives: an **interest-rate cap** (pay a premium; protected above the cap strike; benefits if rates fall), or a mix (hedge 50–75% of debt).

60.5 Bank relationship and fee management

Treasurers allocate ancillary business to banks that provide credit, monitor **bank fees** (account maintenance, payment fees, FX margins, L/C and guarantee commissions, cash handling), use **bank fee analysis statements** (e.g., in standard electronic formats) and periodically run **RFPs** for cash management. FX execution costs are often hidden in spreads — measuring them against market mid-rates at execution time can reveal significant savings.

WORKED EXAMPLE · Hidden FX margin

A company converts $40m a year into EUR at an average of 30 pips above the market mid-rate (≈ 0.28% at 1.08). Cost ≈ **$110,000 a year**. A multi-bank platform with competitive quotes reduced the average margin to 6 pips, saving about **$88,000**.

60.6 Payment timing

Treasury optimises timing within contractual terms: pay on the due date (not earlier) unless a discount justifies it; batch payment runs; align large payments with receipts; manage value dates and cut-offs; consider holiday calendars for both currencies.

60.7 Treasury policy

Section	Content
Objectives	E.g., ensure liquidity, protect margins from financial risk, minimise cost of funds — **not** to generate speculative profits
Governance	Board/committee approval, roles, delegation limits, reporting
Liquidity	Minimum liquidity buffer, forecasting requirements
Funding	Approved sources, maturity limits, covenant headroom targets
FX risk	Exposures to hedge, hedge ratios by horizon, permitted instruments, budget rates
Interest-rate risk	Target fixed/floating mix
Counterparty risk	Minimum bank ratings, limits per bank for deposits and derivatives
Investments	Permitted instruments (deposits, money-market funds, T-bills), tenors, concentration
Controls	Segregation of dealing, confirmation and settlement; authorised signatories; systems
Reporting	Daily positions, monthly exposure and hedge reports, policy breaches

60.8 Treasury vs speculation vs investment management

	Corporate treasury	Speculative trading	Investment management
Objective	Reduce risk and cost for the operating business	Profit from market movements	Achieve returns on capital within a mandate
Starting point	An existing commercial exposure	No exposure needed	Investor capital
Typical instruments	Forwards, swaps, plain options, deposits	Any, including leveraged	Securities, funds, derivatives within mandate
Success measure	Predictability of margins and cash; cost; compliance with policy	Trading P&L	Risk-adjusted return vs benchmark
Danger sign	Hedges larger than exposures; "view-taking"	—	Style drift, excessive risk

بالعربية — الخزينة ليست مضاربة

هدف إدارة الخزينة في الشركة هو حماية الهوامش والتدفقات النقدية من تقلبات العملات وأسعار الفائدة وضمان السيولة بأقل تكلفة، وليس تحقيق أرباح من التوقعات. لذلك يجب أن يرتبط كل تحوّط بتعرّض تجاري قائم، وأن تحدد سياسة الخزينة الأدوات المسموح بها ونسب التحوط والحدود والصلاحيات. أما المضاربة فهي اتخاذ مراكز جديدة بهدف الربح، وإدارة الاستثمارات تسعى إلى عائد على رأس المال ضمن تفويض استثماري محدد.

PRACTICE · Practice questions

1. Subsidiaries owe each other: X→Y $5m; Y→Z $2m; Z→X $4m; Y→X $1m. Compute net positions and the number/value of payments after netting.

2. A $50m floating loan at reference + 1.75% is 60% hedged with a pay-fixed swap at 4.10%. Reference rate is 5.0%. Compute the all-in average cost.
3. Which of these are inconsistent with a hedging policy: (a) buying a forward to cover a firm EUR purchase order; (b) selling a GBP forward because the treasurer expects GBP to fall, with no GBP exposure; (c) buying a cap on 50% of floating debt?

ANSWER · Answers to the practice questions

1. X: +4 + 1 − 5 = **0**; Y: +5 − 2 − 1 = **+2**; Z: +2 − 4 = **−2**. After netting: Z pays $2m to Y (via the centre): **1 payment, $2m** (instead of 4 payments, $12m).
2. Hedged 30m: 4.10% + 1.75% = 5.85%; unhedged 20m: 5.0% + 1.75% = 6.75%. Average = (30 × 5.85 + 20 × 6.75) ÷ 50 = **6.21%**.
3. (b) is speculation (no exposure). (a) and (c) are consistent.

CHAPTER 61

Managing Currency Risk in International Trade

LEARNING OBJECTIVES · In this chapter

Types of FX exposure, measuring exposure, hedging strategies for importers and exporters with complete numerical cases, budget rates and layered hedging, natural hedges and contract clauses, and an introduction to hedge accounting.

61.1 Three kinds of exposure

Exposure	Definition	Example	Typical management
Transaction	Known future cash flows in foreign currency	EUR invoice due in 90 days	Forwards, options, natural hedges
Translation (accounting)	Effect of retranslating foreign subsidiaries' statements	EUR subsidiary's equity reported in USD	Often not hedged; net investment hedges
Economic (operating)	Long-term effect of currency moves on competitiveness and cash flows	Competitors source in a cheaper currency	Strategic: sourcing, pricing, location

Exposure lifecycle: price list/quotation issued (contingent exposure) → order confirmed (firm commitment) → invoice (receivable/payable) → payment. Hedging policies often hedge a percentage of **forecast** exposures and 100% of **firm** commitments.

61.2 Case A: an importer paying EUR

Gulf Machinery Trading (fictional, Dubai; functional currency AED, pegged to USD) must pay **EUR 2,000,000 in 90 days** for equipment it has already sold to a client at a fixed AED price based on a budget rate of EUR/USD 1.10 (cost budget $2.2m). Market: spot 1.0850; 90-day forward 1.0904; a 90-day EUR call option with strike 1.1000 costs 1.2% of the USD notional at strike (~$26,400); a zero-premium collar (buy EUR call at 1.1100, sell EUR put at 1.0600).

Strategy	Spot at payment 1.0300	Spot 1.0900	Spot 1.1500
Unhedged	$2,060,000	$2,180,000	$2,300,000
Forward at 1.0904	$2,180,800	$2,180,800	$2,180,800
Call option strike 1.10 (+ premium $26,400)	$2,086,400 (let option lapse)	$2,206,400	$2,226,400 (exercise)
Collar 1.0600–1.1100 (zero premium)	$2,120,000 (floor binds)	$2,180,000	$2,220,000 (cap binds)
vs budget $2,200,000			

Analysis:

- **Forward** locks the cost at $2,180,800 — below budget; no upside if the EUR weakens.
- **Option** caps the cost at $2,226,400 (above budget by the premium) but retains the full benefit of a weaker EUR — expensive insurance.
- **Collar** gives a range of $2.12–2.22m with no premium.
- Because the sale price is already fixed, the company's goal is **certainty of margin** → the forward is the natural choice for this firm commitment. Options suit uncertain exposures (e.g., a tender not yet won).

61.3 Case B: an exporter receiving EUR (pegged-currency exporter)

Levant Pharma (fictional, Jordan; JOD pegged to USD at about 0.709 JOD per USD) sells medicines to a European distributor: **EUR 1,500,000 receivable in 120 days**. Costs are in JOD. Budget rate EUR/USD 1.07. Market: spot 1.0850; USD 120-day rate 4.40%, EUR 2.40% (act/360).

- Forward = 1.0850 × (1 + 0.044 × 120/360) ÷ (1 + 0.024 × 120/360) = 1.0850 × 1.014667 ÷ 1.008 = **1.0922**.
- Selling EUR 1.5m forward → **USD 1,638,300** → at 0.709 JOD/USD ≈ **JOD 1,161,555**.
- At the budget rate: USD 1,605,000 → JOD 1,137,945. The forward secures **JOD 23,610 above budget**.
- If unhedged and EUR/USD fell to 1.02: USD 1,530,000 → JOD 1,084,770 — **JOD 76,785 below the forward outcome**.

The exporter benefits from the interest differential (EUR at a forward premium vs USD in this rate environment). In environments where the exporter's currency has much higher interest rates than the invoice currency, forward points work against the exporter — e.g., an exporter in a high-interest-rate country selling forward USD receivables receives a much better forward rate than spot in local-currency terms, while an importer there pays a large forward premium. Interest differentials can make hedging appear "expensive" to importers in high-rate currencies.

61.4 Layered hedging and budget rates

Companies with recurring flows hedge in layers to smooth rates:

Horizon	Hedge ratio of forecast exposure (example policy)
0–3 months	75–100%
4–6 months	50–75%
7–12 months	25–50%
> 12 months	0–25% (only with approval)

Each month, treasury adds hedges so that coverage reaches the target ratios. The **budget rate** is set from forward rates at budget time; achieved rates are reported against it. This avoids all-or-nothing timing decisions.

61.5 Natural hedges and commercial tools

Tool	How it reduces exposure
Invoice in your own currency	Shifts risk to the counterparty (affects competitiveness and price)
Match currency of costs and revenue	E.g., buy inputs in EUR if you sell in EUR
Foreign-currency borrowing	Debt in the currency of revenues (also a hedge of net investment)
Price-adjustment / currency clauses	Price adjusts if the rate moves beyond a band
Shorter quotation validity	Less time for rates to move before acceptance
Leading and lagging payments	Timing intra-group payments (subject to tax and regulatory limits)
Local sourcing / production	Reduces economic exposure long term

WORKED EXAMPLE · Currency clause in a supply contract

"Prices are based on an exchange rate of EUR/USD 1.0850. If the ECB reference rate on the invoice date differs by more than 3% from this rate, the price in USD shall be adjusted by the difference exceeding 3%." Both parties share small movements; large moves are passed through.

61.6 Hedge accounting (introduction)

Derivatives are measured at fair value, which can create profit-and-loss volatility before the hedged transaction occurs. **Hedge accounting** (IFRS 9; ASC 815 under US GAAP) allows companies to align the timing of gains and losses on hedges with the hedged items — e.g., in a **cash flow hedge**, effective fair-value changes go to other comprehensive income and are recycled when the hedged purchase affects profit. It requires formal designation, documentation and an economic relationship between hedge and hedged item. Without it, a perfectly sensible hedge can make quarterly profits look volatile.

COMMON MISTAKES · Common FX risk-management mistakes

- Hedging based on a view ("the euro will fall") rather than on policy.
- Over-hedging forecasts that do not materialise, creating speculative positions.
- Ignoring the timing mismatch between payment dates and hedge maturities.
- Buying complex zero-cost structures with hidden leverage.
- Measuring success by "did we beat spot?" — the objective is reducing uncertainty, not winning bets.
- Forgetting counterparty limits and collateral requirements on derivatives.

PRACTICE · Practice questions

1. An importer must pay USD 500,000 in 60 days; its home currency is EGP (assume spot USD/EGP 49.00; 60-day forward 50.80). Explain why the forward is higher than spot and what the importer should consider.
2. A Turkish exporter receives EUR monthly (EUR 3m per month). Design a 12-month layered hedging programme using the example ratios above.
3. In Case A, what would the company pay if it hedged 50% with the forward and left 50% unhedged, and the spot at payment is 1.15?
4. Why is translation exposure often left unhedged?

ANSWER · Answers to the practice questions

1. EGP interest rates are much higher than USD rates, so the forward includes the interest differential (covered interest parity). The importer pays more than spot but locks its cost; alternatives are buying USD now (if available and if it has EGP liquidity) and holding it, negotiating EGP pricing, or reducing exposure. In markets with FX shortages, access to USD at maturity can be a bigger risk than the rate itself.
2. At any time: months 1–3 hedged 75–100% (EUR 6.75–9m), months 4–6 50–75% (EUR 4.5–6.75m), months 7–12 25–50% (EUR 4.5–9m). Each month, add forwards for the newly entering month(s) to restore ratios. Report average achieved rate vs budget monthly.
3. 50% forward: EUR 1m × 1.0904 = $1,090,400; 50% at spot: EUR 1m × 1.15 = $1,150,000 → total **$2,240,400**.
4. It affects reported equity (through OCI), not cash flows in the short term; hedging it uses cash (collateral, settlements) to protect accounting values; and long-term assets abroad are often naturally financed or hedged by local borrowing.

SUMMARY · Part XVIII summary

- FX quotes must be read with the base currency in mind; forwards reflect interest differentials, not forecasts.

- Treasury ensures liquidity, manages funding and financial risks, controls bank relationships and costs.
- Pooling, netting and in-house banking reduce idle cash, transfers and fees.
- Interest-rate swaps and caps convert or limit floating-rate exposure.
- Transaction exposures should be hedged according to a written policy; forwards suit firm commitments, options suit uncertain exposures.
- Corporate treasury reduces risk; it must not become a speculative trading desk.

Index to Volume 4

Bold page numbers mark the main term-card definition.